

**PROJECT REPORT
ON
“BRICS: Impact on Global Trade and Economic Growth”**

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I hereby declare that this project Report titled **“EFFECT OF GST REFORMS ON CONSUMER BEHAVIOUR AND SPENDING PATTERNS”** Submitted by me to the department of Business Management, **“BADRUKA COLLEGE OF PG CENTRE”** Affiliated to Osmania University, Hyderabad is Bonafide work undertaken by me and it is not submitted to any other University or Institutions for the award of any degree diploma or certificate or published any time before.

Signature of the student

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ABSTRACT

This study examines the role of BRICS nations — Brazil, Russia, India, China, and South Africa — in transforming global trade structures and influencing worldwide economic growth, with particular emphasis on the bloc's growing push towards de-dollarization and the establishment of an alternative international monetary framework. As the dominance of the US dollar in global trade and financial transactions faces increasing scrutiny, BRICS has emerged as a central force advocating for a multipolar currency system that reduces dependence on dollar-denominated trade settlements.

The research is grounded entirely in secondary data sourced from World Bank databases, IMF working papers, WTO trade statistics, BRICS summit declarations, academic journals, and international economic policy reports. The study systematically analyses intra-BRICS trade volumes, GDP growth trajectories, currency diversification initiatives, and the broader geopolitical implications of shifting away from dollar dependency.

Furthermore, the study highlights that de-dollarization within BRICS has had significant downstream effects on global trade, particularly for commodity-exporting developing economies that traditionally priced exports in US dollars. The gradual shift in pricing mechanisms for oil, gold, and agricultural commodities has begun altering trade competitiveness and economic dependencies across Asia, Africa, and Latin America.

Overall, this study concludes that BRICS, through its de-dollarization agenda and expanding trade partnerships, is actively reshaping the architecture of global trade and economic growth, signalling a gradual but consequential shift towards a more multipolar and financially diversified world order.

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CHAPTER – I

INTRODUCTION

1. Introduction

The rise of BRICS reflects the shifting balance of economic power in the twenty-first century. The term was coined in 2001 by a Wall Street economist to describe Brazil, Russia, India, and China as promising emerging markets with strong growth potential. Over time, however, the concept evolved beyond an investment label into a geopolitical alliance that developed institutions, attracted new partners, and promoted an alternative vision of global economic governance.

Despite having different languages, cultures, histories, and geographic locations, the BRIC nations were united by shared interests. They sought greater dominated financial systems, expanded access to development finance without political conditions, and a global order that better represents the interests of developing countries.

The 2008 Global Financial Crisis marked a turning point for the group. While many advanced economies struggled, the BRIC countries maintained growth and gained international credibility. This shift was reflected in the elevation of the G20 as the leading forum for global economic governance, giving the BRIC nations a stronger role alongside the G7 economies.

South Africa joined in 2010, forming BRICS. The bloc expanded further after the 2023 Johannesburg Summit, where six countries were invited to join. Although Argentina later withdrew, Saudi Arabia, the UAE, Iran, Egypt, and Ethiopia became full members in 2024. This expansion significantly increased BRICS+'s economic influence, energy resources, and global reach. By 2024, the group represented about 44% of the world's population, 37% of global GDP measured by purchasing power parity, and a substantial share of key natural resources.

"BRICS was not designed to replace the existing global order. It was designed to reform it — and when reform proved impossible, to build alongside it. That distinction between reformist challenge and systemic alternative is the essential key to understanding what BRICS is, what it wants, and why it matters."

This research project examines the impact of BRICS on global trade and economic growth. It traces the historical and institutional evolution of the grouping, analyses the macroeconomic evidence for BRICS' rise as the primary engine of global economic growth, examines the institutional architecture BRICS has constructed as an alternative to Western-dominated systems, and evaluates the consequences of BRICS' rise for the structure of global trade, finance, and governance.

2. Definition and Meaning of the Title

The title — "BRICS: Impact on Global Trade and Economic Growth" — addresses two related subjects whose definitions and interconnections must be clarified before the analysis proceeds.

1.2 What is BRICS?

BRICS denotes Brazil, Russia, India, China, and South Africa, a multilateral group of major emerging economies. Over two decades it has evolved from a loose diplomatic forum into a more institutionalised coalition, establishing permanent financial bodies, regular summits, and mechanisms for economic, political, and cultural cooperation. Its 2024 expansion under BRICS+ added five members, increasing its geographic and economic diversity. BRICS does not constitute a defence alliance like NATO, nor a customs union or single market like the EU. Instead, it functions as a strategic coalition of large emerging economies that seek a more multipolar world order by building institutions, coordinating diplomatically, and demonstrating alternatives to Western-dominated economic structures.

1.2.1 The Origin of the Acronym

The term originated with a November 2001 working paper by Goldman Sachs economist Jim O'Neill, titled "Building Better Global Economic BRICs." O'Neill argued that Brazil, Russia, India, and China—each large in population, rich in resources, and growing rapidly—could, within a generation, rival the combined output of the G6. At the time, Brazil was stabilising after political and economic turbulence; Russia was recovering from the 1990s contraction; India was accelerating following 1991 reforms; and China, newly in the WTO, had begun a period of exceptional growth.

1.2.2 What is "Impact on Global Trade and Economic Growth"?

"Global trade" denotes the cross-border exchange of goods, services, capital, and technology. BRICS affects trade through intra-group flows, south–south corridors with developing partners, commodity market shifts driven by its demand, and the development of trade-

settlement infrastructure that offers alternatives to dollar-centric systems. "Economic growth" refers both to the global expansion of output and to how that growth is distributed across countries; BRICS influences this directly via its own growth and indirectly through trade, investment, and technology transfer to other economies.

Table 2.1: BRICS+ Member Profile — Key Economic and Strategic Data (2024)

Member State	Year Joined	GDP (PPP, USD Tn)	Population (Mn)	Key Resource / Sector	Strategic Role in BRICS+
Brazil	2009 (BRIC)	\$4.02	215	Soybean, iron ore, bioenergy	Latin American anchor; commodity exporter
Russia	2009 (BRIC)	\$5.33	144	Natural gas, oil, palladium	Energy security anchor; alternative finance
India	2009 (BRIC)	\$13.12	1,432	IT services, pharma, space	Fastest-growing major economy; Global South
China	2009 (BRIC)	\$33.01	1,412	Manufacturing, rare earths, EVs	Economic anchor; institutional architect
South Africa	2010 (BRICS)	\$0.95	60	Platinum, gold, manganese	African gateway;

Member State	Year Joined	GDP (PPP, USD Tn)	Population (Mn)	Key Resource / Sector	Strategic Role in BRICS+
					democratic credibility
Saudi Arabia	2024 (BRICS+)	\$1.87	35	Crude oil, petrochemicals	Petrodollar pivot; Gulf economy bridge
UAE	2024 (BRICS+)	\$0.70	10	Logistics, finance, trade	Global trade and finance conduit
Iran	2024 (BRICS+)	\$1.46	88	Oil, gas, petrochemicals	Sanctions-tested de-dollarisation model
Egypt	2024 (BRICS+)	\$1.51	106	Suez Canal, gas, tourism	North Africa–Middle East gateway
Ethiopia	2024 (BRICS+)	\$0.32	127	Coffee, hydropower, textiles	Sub-Saharan African anchor; demographic

Source: IMF World Economic Outlook October 2023; World Bank Development Indicators 2023. GDP PPP in USD trillion.

1.2.3 BRICS in the Context of Emerging Market Economic Theory

Although Jim O'Neill's 2001 paper was not the first attempt to explain the rise of large developing economies, it became the most influential. The idea drew upon earlier theories,

including dependency theory, research on newly industrialising countries (NICs), and the World Bank's 1993 East Asian Miracle report. What made O'Neill's approach distinctive was its quantitative prediction that Brazil, Russia, India, and China could collectively surpass the G6 economies within four decades. By grouping these diverse economies into a single category, he also created an attractive investment concept for global investors.

O'Neill's projection was based on growth accounting theory, which suggested that sustained investment in physical and human capital, combined with productivity improvements and technological advancement, would allow these countries to narrow the income gap with advanced economies. In many respects, the prediction proved accurate, particularly in China's case, where growth exceeded expectations. However, the model also relied on assumptions regarding political stability, institutional strength, and technological adaptability, which became subjects of debate over time.

The evolution of BRIC from an investment concept into a geopolitical identity cannot be explained by economics alone. The member countries actively embraced the label and transformed it into a platform for cooperation. This process highlights how political identities can emerge from economic ideas, demonstrating the close relationship between economic structures and political action.

1.2.4 The Expanding Architecture: From BRIC to BRICS to BRICS+

The development of the grouping from BRIC (2001–2010) to BRICS (2010–2023) and later BRICS+ (2024–present) reflects a gradual process of institutional strengthening and strategic expansion. Each stage followed a period of consolidation during which members developed common frameworks and reinforced cooperation. South Africa's inclusion in 2010 demonstrated that strategic importance could outweigh economic size, as it provided African representation and strengthened the group's global reach.

The expansion announced at the 2023 Johannesburg Summit followed a broader strategic logic. Saudi Arabia and the UAE contributed financial influence and energy resources, Iran added experience in managing economic sanctions, Egypt offered control of the Suez Canal and regional significance, while Ethiopia strengthened the group's presence in Africa. As a result, BRICS+ has evolved beyond its original investment-based concept into a wider platform addressing global governance, energy security, and financial cooperation.

1.3. Relevant Information Related to the Title

1.3.1 The BRICS Evolution: Key Milestones (2001–2026)

The transformation of BRICS from an investment concept into an international coalition has occurred over more than two decades. A major milestone was the first BRIC Leaders' Summit held in Yekaterinburg in 2009, which marked the shift from a financial label to a formal intergovernmental platform. The summit called for reforms in the international monetary system and greater representation for emerging economies.

South Africa's entry in 2010 expanded the group's geographic scope. In 2014, the establishment of the New Development Bank and the Contingent Reserve Arrangement provided BRICS with its first permanent institutional foundations. The 2023 Johannesburg Summit marked another significant turning point, transforming the bloc into BRICS+ and creating a larger coalition with substantial economic and strategic influence.

Table 3.1: BRICS Evolution Timeline — Key Milestones (2001–2026)

Year	Milestone	Description	Significance
2001	Goldman Sachs 'BRICs' Report	Jim O'Neill coins BRIC; projects emerging markets to surpass G6 in GDP	First formal framing of BRIC as a collective growth concept
2009	First BRIC Summit (Yekaterinburg)	Four heads of government meet; joint communiqué on global governance reform	BRIC formalised as intergovernmental grouping
2010	South Africa joins	BRIC becomes BRICS; Africa gains representation in the bloc	Geographic expansion; claim to represent the full Global South
2013–14	NDB and CRA agreed	New Development Bank and Contingent Reserve Arrangement established	First permanent BRICS institutions — alternative finance infrastructure

Year	Milestone	Description	Significance
2022	Russia-Ukraine war; SWIFT exclusion	Western sanctions trigger rapid de-dollarisation; CIPS expands	Urgency of alternative payment systems rises sharply
2023	Johannesburg Summit — BRICS+	Saudi Arabia, UAE, Iran, Egypt, Ethiopia invited as full members	Largest BRICS expansion in history; bloc covers ~44% of world population
2024	BRICS+ formally constituted	Five new members join; 30+ nations express interest in membership	BRICS+ evolves toward tiered architecture; global legitimacy enhanced

1.3.2 The New Development Bank — Architecture and Achievements

The New Development Bank (NDB), established through the Fortaleza Agreement in 2014 and officially launched in Shanghai in 2015, is one of BRICS' most important institutional achievements. With authorised capital of USD 100 billion and an initial subscribed capital of USD 50 billion shared equally among the founding members, the NDB was created as an alternative to traditional institutions such as the World Bank, where voting power is largely determined by financial contributions.

By mid-2024, the NDB had approved around USD 35 billion for nearly 100 projects across 10 member countries, focusing mainly on infrastructure, renewable energy, and sustainable development. Its membership has expanded beyond the original BRICS nations to include countries such as Bangladesh, Egypt, the UAE, and Uruguay. A notable feature of the bank is its emphasis on local currency lending through bonds issued in currencies such as the Chinese renminbi, Indian rupee, Russian ruble, and South African rand, reducing dependence on the US dollar and limiting exchange-rate risks.

Despite these achievements, the NDB faces several challenges. Its annual lending remains considerably lower than that of major institutions such as the World Bank and the Asian Development Bank. In addition, sanctions imposed on Russia after the 2022 Ukraine conflict

have complicated the bank's access to Western financial markets. Although these factors have slowed its expansion, growing membership, an expanding project portfolio, and stronger local-currency financing capabilities suggest that the NDB could play a larger role in global development finance in the coming years.

1.3.2 The Contingent Reserve Arrangement — Liquidity Safety Net

The Contingent Reserve Arrangement (CRA), launched alongside the NDB in 2014, serves as a financial safety mechanism for BRICS members facing balance-of-payments difficulties or short-term liquidity shortages. The arrangement has a total reserve pool of USD 100 billion, with contributions led by China, followed by Brazil, India, Russia, and South Africa. It was designed to provide an alternative source of emergency funding to the International Monetary Fund (IMF).

However, the CRA has never been activated, leaving its effectiveness largely untested. A major limitation is that member countries can access only 30% of their allocated funds without simultaneously participating in an IMF programme. As a result, the arrangement still depends partly on the institution it was intended to complement. Strengthening the CRA's independence, surveillance mechanisms, and operational framework remains a key objective for BRICS in the coming years.

1.3.3 The Three Pillars of BRICS Cooperation

BRICS cooperation is built on three main pillars: political and security cooperation, economic and financial collaboration, and people-to-people exchanges. The political pillar focuses on issues such as global governance reform and the promotion of a multipolar world order. The economic pillar includes institutions and mechanisms such as the NDB, CRA, China's Cross-Border Interbank Payment System (CIPS), and local currency settlement arrangements. The social and cultural pillar promotes cooperation through initiatives such as the BRICS University League and the BRICS Business Council.

By 2023, the NDB had approved approximately USD 35 billion in funding for around 100 projects. Unlike the World Bank, it provides financing without policy conditions, supports lending in local currencies, and grants equal voting rights to founding members. The CRA offers a USD 100 billion emergency liquidity framework, while CIPS had expanded to 1,442 member institutions across 109 countries, providing an alternative payment network for international trade settlements.

1.3.4 BRICS' Challenge to Western Institutional Hegemony

BRICS challenges Western institutional dominance in several ways. First, it argues that existing global governance institutions no longer reflect the current distribution of economic power. Second, it has developed alternative institutions such as the NDB, CRA, CIPS, and bilateral currency arrangements. Third, it promotes principles such as sovereignty, multipolarity, and non-conditional development assistance. Finally, BRICS seeks to reshape global economic structures through changes in trade patterns, financial networks, and technology supply chains, thereby increasing the influence of emerging economies in the international system.

Table 3.2: Western Institutional Hegemony — BRICS Challenge Matrix (2024)

Western Institution	BRICS Counter-mechanism	Challenge Effectiveness	Trajectory (2024–2030)
IMF — Governance & Lending	CRA (\$100 Bn); NDB without conditionality	Moderate — NDB growing but \$35 Bn vs. World Bank's \$60 Bn/yr	NDB capital target \$150 Bn by 2030; BRICS lobbying for IMF reform
World Bank — Development Finance	NDB — local currencies; no conditionality	Growing — NDB local-currency lending is genuine innovation	NDB expansion into non-member countries; climate & infrastructure focus
SWIFT — Financial Messaging	CIPS (China); SPFS (Russia); UPI cross-border (India)	Significant — CIPS at 1,442 members in 109 countries	CIPS targeting 5,000+ members; mBridge CBDC platform development
US Dollar Reserve Currency	Local-currency deals; gold accumulation; BRICS currency basket; e-CNY	Early stage — USD share in intra-BRICS trade down from 72% to 58% (2021–23)	Gradual de-dollarisation; basket reserve asset development
WTO — Trade Rules	BRICS+ collective WTO positions; bilateral trade frameworks	Growing — BRICS+ ~22% of world trade and 44% of population	BRICS+ coordinated WTO reform advocacy; intra-BRICS trade agreements

1.4 Need of the Study

1.4.1 The Urgency of Understanding BRICS' Economic Significance

The growing influence of BRICS makes a detailed academic study of its impact on global trade and economic growth increasingly important. The expansion of the bloc in 2024, its economic size measured by purchasing power parity, its ability to influence global commodity flows, and its efforts to develop alternatives to Western-led financial systems have significantly reshaped the global economic landscape.

Many business and economic frameworks continue to focus on a world dominated by Western institutions, the US dollar, and G7 economies. However, the rise of BRICS+ has altered this reality. With a substantial share of global output, control over key mineral resources, and expanding financial infrastructure, BRICS has become an important force that future business leaders and policymakers must understand.

1.4.2 Gaps in Existing Research

This study addresses several important gaps in the existing literature. First, much of the research on BRICS focuses on the period before 2022 and therefore does not fully examine the rapid institutional developments that followed Russia's exclusion from SWIFT and the freezing of its foreign reserves. These events accelerated discussions on de-dollarisation and alternative financial systems.

Second, many studies treat BRICS as a single entity without adequately analysing the distinct strengths and contributions of individual member countries. Third, research on BRICS institutions often takes either a highly supportive or highly critical approach, leaving limited room for balanced analysis. Finally, the effects of BRICS' growth on developing countries outside the bloc have received relatively little attention. This study seeks to address these shortcomings.

1.4.3 Practical Relevance for Business and Policy

The rise of BRICS has important implications for businesses, investors, policymakers, and development professionals. Companies involved in global supply chains need to understand BRICS' influence over critical resources such as rare earth minerals, palladium, platinum, niobium, and agricultural commodities. Investment managers must assess how the growing economic importance of BRICS creates both opportunities and risks in global markets.

Similarly, professionals involved in trade finance need to understand emerging payment systems, local-currency settlement mechanisms, and de-dollarisation initiatives that may affect international transactions. As BRICS continues to expand its economic influence, knowledge of these developments becomes increasingly valuable for effective decision-making.

1.4.4 The Pedagogical Imperative for MBA Education

The rise of BRICS also presents important challenges for business education. Many of the dominant theories taught in MBA programmes, including strategic management and international business frameworks, were developed during a period when the United States, Western Europe, and Japan were the primary centres of economic power. As the global economy becomes more multipolar, these frameworks alone may no longer provide a complete understanding of international business dynamics.

Future managers must be prepared to operate in an environment where BRICS+ economies contribute a large share of global growth, Chinese companies compete as technology leaders, Indian firms influence global service industries, and alternative financial systems are gaining prominence. The gap between traditional business education and current economic realities highlights the need for updated perspectives.

Understanding BRICS should not be viewed as simply adding another topic to business curricula. Instead, it requires a broader reassessment of ideas related to economic development, global competitiveness, institutional influence, and the relationship between economic and political power. Business schools that incorporate these perspectives will be better positioned to prepare graduates for leadership in an increasingly multipolar global economy.

Table 4.1: Need of the Study — Key Rationales

#	Rationale Category	Specific Need	Who Benefits
1	Post-2022 Knowledge Gap	Existing literature predates SWIFT exclusion of Russia, BRICS+ expansion, and de-dollarisation acceleration	Academics, policy analysts, research institutions
2	Pedagogical Need	MBA curricula still calibrated to G7-dominated world; future managers need BRICS-aware frameworks	Business schools, MBA students, corporate training
3	Corporate Strategy	Firms need to assess BRICS commodity leverage, supply chain dependencies, and south-south opportunities	Multinational corporations, supply chain managers
4	Investment Decision-Making	Portfolio managers need to understand BRICS GDP share growth, capital market development, and risks	Institutional investors, sovereign wealth funds
5	Trade Finance Practice	CIPS, Vostro accounts, and local currency settlement reshaping cross-border transaction economics	Banks, trade finance practitioners, treasury professionals

#	Rationale Category	Specific Need	Who Benefits
6	Policy Design	Governments need evidence-based analysis of BRICS institutional challenge for WTO, IMF, G20 reform	Trade ministries, finance ministries, multilateral institutions
7	Development Economics	NDB lending model, BRI infrastructure, south-south trade patterns affect developing economies directly	Development economists, NGOs, bilateral aid agencies

Source: Author's analytical framework based on stakeholder needs assessment and review of existing BRICS academic and professional literature.

1.5. Scope of the Study

The scope of this study is defined through four key dimensions: geographic and institutional scope, temporal scope, thematic scope, and analytical scope.

1.5.1 Geographic and Institutional Scope

This research primarily focuses on the ten-member BRICS+ grouping as of January 2024, consisting of Brazil, Russia, India, China, South Africa, Saudi Arabia, the UAE, Iran, Egypt, and Ethiopia. While these countries are examined collectively as members of BRICS+, the study also recognises their roles in other international organisations and partnerships. In addition, it considers BRICS+' interactions with major non-member regions and economies, including the G7, ASEAN, African Union member states, and developing nations in Latin America and the Middle East.

The institutional scope includes key BRICS organisations such as the New Development Bank (NDB), Contingent Reserve Arrangement (CRA), BRICS Business Council, BRICS Academic Forum, and the annual Leaders' Summit. It also covers financial and trade mechanisms such as currency swap agreements, the Vostro account framework, CIPS participation, and bilateral trade arrangements, alongside broader institutions including the IMF, World Bank, WTO, and G20.

1.5.2 Temporal Scope

The study covers the period from 2001 to 2024, beginning with Jim O'Neill's original BRIC concept and extending to the establishment of BRICS+ in 2024. This timeframe captures major stages in the bloc's development, including the commodity boom of 2001–2011, the consolidation phase from 2012–2018, the COVID-19 period, and the significant geopolitical developments between 2022 and 2024. Where relevant, projections up to 2030 are included to assess future trends.

1.5.3 Thematic Scope

The research focuses on five major themes. First, it examines the evolution and institutional structure of BRICS. Second, it analyses the economic convergence between BRICS+ and G7 economies. Third, it explores BRICS-led financial innovations, including the NDB, CRA, CIPS, local currency settlement systems, and gold reserve strategies. Fourth, it investigates BRICS' influence on global trade through intra-bloc trade growth, South-South cooperation, and commodity market developments. Finally, it evaluates the challenges and future prospects of BRICS, including internal differences and the ongoing debate surrounding de-dollarisation.

1.5.4 Analytical Scope

The study adopts a descriptive and comparative approach rather than primary research or advanced econometric analysis. It relies on data from recognised international institutions such as the IMF, World Bank, WTO, BIS, and official BRICS reports. These sources are combined with qualitative analysis of policy documents, summit declarations, and academic literature to provide a balanced assessment of BRICS' economic role and future direction. The research is designed to remain accessible to MBA students and business professionals while maintaining academic rigour.

1.6. Objectives of the Study

The study is guided by both primary and secondary objectives aimed at understanding the significance of BRICS in the global economy.

1.6.1 Primary Objectives

PO1. To examine the historical development of BRICS from Jim O'Neill's 2001 investment concept to the expansion that created BRICS+ in 2024, highlighting key institutional developments, membership changes, and strategic shifts.

PO2. To compare the economic performance of BRICS+ and G7 economies by analysing economic size, growth patterns, demographic trends, and resource availability, with special emphasis on the differences between nominal GDP and purchasing power parity (PPP) measures.

PO3. To evaluate the major institutions established by BRICS, including the NDB, CRA, CIPS, and local currency settlement mechanisms, and assess their effectiveness compared with traditional Western-led institutions.

PO4. To analyse BRICS' influence on global trade, including the growth of trade among member countries, the expansion of South-South trade networks, developments in commodity markets, and implications for global trade governance.

PO5. To assess the progress and challenges of BRICS' de-dollarisation efforts, including local currency transactions, digital payment initiatives, central bank digital currencies (CBDCs), and gold reserve accumulation.

PO6. To identify the major challenges facing BRICS, including economic diversity among members, governance differences, geopolitical tensions, and limitations in institutional capacity.

1.6.2 Secondary Objectives

SO1. To provide MBA students and business professionals with a clear and comprehensive understanding of BRICS and its relevance to strategic decision-making.

SO2. To examine the implications of BRICS' growth for business leaders, investors, trade finance professionals, supply chain managers, and policymakers operating in a multipolar global economy.

SO3. To contribute to existing academic literature by presenting an updated analysis of BRICS developments through 2024, including recent expansion and de-dollarisation initiatives.

SO4. To identify areas where further research is needed and highlight opportunities for future studies on the economic significance and evolving role of BRICS in the global system..

1.7. Research Methodology

1.7.1 Research Design and Philosophical Approach

This study adopts a descriptive and analytical research design that combines secondary data analysis with qualitative examination of policy documents, institutional reports, and academic literature. The research follows a largely positivist approach, seeking to understand BRICS' economic and institutional development through evidence-based analysis rather than ideological assumptions. While the study documents the evolution of BRICS, it also evaluates patterns and trends through comparative analysis.

The methodology incorporates both quantitative and qualitative elements. Quantitative data, such as GDP figures, trade volumes, foreign reserves, and institutional financing, provide measurable evidence of BRICS' economic significance. Qualitative sources, including summit declarations, policy documents, and scholarly research, help explain the broader institutional and strategic implications of these developments.

1.7.2 Data Collection: Secondary Data Sources

The research is based entirely on secondary data collected from reliable international organisations, institutional publications, and academic sources. No primary data collection was undertaken.

Key sources include the IMF World Economic Outlook Database, IMF Direction of Trade Statistics, World Bank Development Indicators, WTO Statistical Review, BRICS Summit Declarations, New Development Bank Annual Reports, CIPS reports, BIS surveys, IMF COFER data, World Gold Council statistics, and academic journals focused on international economics and global governance. These sources provide the foundation for analysing BRICS' economic performance, institutional growth, and global influence.

1.7.3 Research Period

The study covers the period from 2001 to 2024, beginning with Jim O'Neill's introduction of the BRIC concept and extending to the establishment of BRICS+ in 2024. Most data is analysed on an annual basis, although monthly or quarterly data is used where necessary for specific developments. Selected projections up to 2030 are included to assess the likely direction of current trends.

1.7.4 Analytical Methods

Comparative analysis serves as the primary research method. The study compares BRICS+ and G7 economies across indicators such as GDP, economic growth, trade performance, reserves, population, and resource endowments. It also evaluates BRICS institutions, including the NDB, CRA, and CIPS, against established Western institutions such as the World Bank, IMF, and SWIFT.

Descriptive statistical analysis is used to identify economic trends and patterns, while document analysis of summit declarations, policy statements, and institutional reports provides insight into the strategic and institutional dimensions of BRICS cooperation.

1.7.5 Limitations of the Methodology

The methodology has several limitations. First, data availability and comparability remain challenges, as some BRICS countries do not publish all economic information in internationally standardised formats. Certain estimates, particularly those related to de-dollarisation and trade settlement mechanisms, are therefore approximate.

Second, BRICS is evolving rapidly, meaning that some institutional developments may change after the completion of this study. To address this issue, the research relies on the most recent data available up to mid-2024 and focuses on long-term structural trends. Third, the subject remains politically contested, and differing perspectives on BRICS can influence academic interpretations and policy discussions.

1.7.6 Ethical Considerations in Research on Emerging Powers

Research on BRICS involves important ethical and analytical considerations because the grouping is often viewed through competing perspectives. Some scholars regard BRICS as a force for greater global equity and representation, while others see it as a platform through which emerging powers challenge existing international norms and institutions.

This study aims to maintain objectivity by relying on evidence rather than advocacy. Achievements such as the NDB's local-currency lending initiatives and the growth of CIPS are acknowledged where supported by evidence. At the same time, limitations including the CRA's untested effectiveness, the relatively smaller scale of BRICS institutions, and governance challenges among member states are examined with equal attention. The

objective is to provide a balanced assessment rather than support a particular political viewpoint.

1.7.7 Contribution to Knowledge and Significance

This research contributes to the existing literature in several ways. First, it provides an updated assessment of BRICS by incorporating major developments after 2022, including de-dollarisation efforts, Russia's exclusion from SWIFT, and the expansion to BRICS+. Second, it applies a comparative framework to evaluate BRICS institutions alongside their Western counterparts, offering a balanced perspective on their achievements and limitations.

Third, the study is designed to be useful not only for academics but also for business professionals and policymakers seeking to understand the practical implications of BRICS' rise. It also places BRICS within the broader context of emerging market economic theory, helping explain both its unique characteristics and its connection to longer-term trends in global economic development.

The significance of this study lies in the growing importance of BRICS+ within the international economy. As a coalition of major emerging powers with expanding institutional capacity, BRICS has become an influential force in global governance, trade, and finance. Whether it ultimately transforms existing international structures or evolves in response to internal and external challenges, its development will play an important role in shaping the future global economic order.

CHAPTER – II

REVIEW OF LITERATURE

REVIEW OF LITERATURE

2.1 Introduction to the Literature Review

2.1.1 Meaning, Scope, and Importance of Literature Review

A literature review is a systematic and critical examination of existing scholarly work related to a specific research topic. Rather than merely summarising previous studies, it identifies key themes, debates, gaps, and patterns in the literature, providing the theoretical and empirical foundation for new research. According to Boote and Beile (2005), the quality of a literature review is a strong indicator of a researcher's ability to conduct independent academic inquiry. In this study on the impact of BRICS on global trade and economic growth, the literature review serves four main purposes: defining the conceptual foundations of BRICS research, tracing the development of relevant theories, examining important empirical findings, and identifying gaps that the present study seeks to address.

The scope of this review is broad due to the multidisciplinary nature of BRICS research. The topic intersects with international economics, political economy, development studies, international relations, and global governance. Sources reviewed include peer-reviewed journal articles, BRICS reports and summit declarations, publications from international organisations such as the IMF, World Bank, BIS, and WTO, as well as major scholarly books on BRICS. The review covers literature published between 2001, when Jim O'Neill introduced the BRIC concept, and 2024, with particular attention to studies produced after 2020 that address recent institutional and geopolitical developments.

2.1.2 Relevance of BRICS+ in Global Economic Research

BRICS has become an increasingly important subject in academic research over the past two decades. What began as a group of studies evaluating O'Neill's investment thesis has evolved into a broad field examining institutional development, trade transformation, financial innovation, geopolitical strategy, and global governance reform. Scholars have noted a significant increase in BRICS-related research, particularly after the Russia-Ukraine conflict and the growing focus on de-dollarisation and alternative economic institutions.

The economic significance of BRICS+ further strengthens its relevance as a research topic. According to IMF estimates, the expanded BRICS+ grouping accounts for approximately 37% of global GDP on a purchasing power parity basis and around 22% of global

merchandise trade. Between 2000 and 2020, the original BRICS members contributed a substantial share of global economic growth despite representing a much smaller proportion of global output at the beginning of the period. These developments make BRICS+ a crucial subject for understanding the changing structure of the global economy.

2.2 Evolution and Conceptual Foundation of BRICS+

2.2.1 Origin and Evolution from BRIC to BRICS+

The concept of BRIC originated with Jim O'Neill's 2001 Goldman Sachs paper, "Building Better Global Economic BRICs." In this study, O'Neill argued that Brazil, Russia, India, and China possessed the economic potential to surpass the G6 economies in total GDP within a few decades. His analysis was primarily intended as an investment framework, highlighting the long-term growth prospects of these emerging economies.

Over time, the concept evolved into a formal intergovernmental platform. Scholars have highlighted the importance of diplomatic initiatives, particularly Russia's role in organising the first BRIC foreign ministers' meeting in 2006 and the first Leaders' Summit in 2009. The 2008 Global Financial Crisis further strengthened cooperation among these countries by exposing weaknesses in the existing global financial system and increasing calls for greater representation of emerging economies.

South Africa joined the group in 2010, transforming BRIC into BRICS. While some scholars questioned whether South Africa's economic size justified membership, others argued that its inclusion strengthened the bloc's global legitimacy by providing African representation. The expansion announced at the 2023 Johannesburg Summit marked another major milestone. According to recent studies, the addition of new members has broadened the bloc's strategic objectives, with issues such as energy security, sanctions resilience, and reduced dependence on the US dollar becoming increasingly important.

2.2.2 Objectives, Institutional Structure, and Expansion of BRICS+

A substantial body of literature has examined the institutional development of BRICS, focusing on its objectives, organisational structures, and practical achievements. Following the 2014 Fortaleza Summit, scholars identified the creation of the New Development Bank (NDB) and the Contingent Reserve Arrangement (CRA) as significant steps toward institutionalisation. Although these institutions were viewed as important alternatives to

existing Western-led organisations, some researchers argued that their impact remained limited compared to established institutions such as the World Bank and IMF.

Other scholars have taken a more optimistic view, suggesting that the significance of BRICS institutions should be assessed in terms of their long-term development rather than their current size. They argue that the steady expansion of the NDB, particularly its local currency lending initiatives and growing project portfolio, demonstrates the potential for BRICS institutions to play a larger role in global economic governance over time. This perspective highlights the gradual but important evolution of BRICS from a political forum into a more structured and influential international organisation.

Table 2.1: Key Studies on BRICS Institutional Architecture and Evolution

Author(s) & Year	Journal/Source	Key Findings	Research Gap Identified
O'Neill (2001)	Goldman Sachs GEP No. 66	Coined BRIC; projected G6 surpassing within 40 years based on growth accounting models	No governance or institutional analysis; purely economic projection
Cooper (2016)	Third World Quarterly	Documented diplomatic construction of BRIC platform; role of 2008 crisis as catalyst	Limited analysis of post-2014 institutional deepening
Chin (2014)	Global Governance	NDB and CRA are incremental, not systemic challenges to Bretton Woods institutions	Underestimates NDB local- currency lending as a structural innovation

Author(s) & Year	Journal/Source	Key Findings	Research Gap Identified
Stuenkel (2016)	Polity Press (Book)	BRICS trajectory more important than current scale; NDB institutional learning is rapid	Limited engagement with BRICS' geopolitical tensions
Beeson & Xu (2024)	International Affairs	BRICS+ expansion changes grouping's character from reformist to more anti-Western	Insufficient analysis of individual new member motivations

Note: Sources drawn from peer-reviewed journals, institutional working papers, and scholarly monographs.

2.3 The Shift in Global Economic Momentum

2.3.1 Comparative Analysis: G7 vs. BRICS+

The empirical literature examining the economic convergence between BRICS and G7 economies has expanded considerably over the past two decades. Wilson and Purushothaman (2003) refined O'Neill's original projections by suggesting that the BRIC economies could collectively surpass the G6 in total GDP by 2040. Subsequent revisions by Goldman Sachs (2007) accelerated this timeline to around 2030, as actual growth rates consistently outperformed earlier expectations. The IMF World Economic Outlook has documented this convergence, noting that by 2023 China had surpassed Germany, Japan, and the United Kingdom in nominal GDP, while India had overtaken both the UK and France and was approaching Germany in economic size.

Subramanian (2011) made an important methodological contribution by distinguishing between nominal GDP and purchasing power parity (PPP)-adjusted GDP. While nominal GDP is influenced by exchange rates, PPP-adjusted GDP provides a more accurate measure of an economy's real productive capacity and living standards. Using PPP measures, the convergence between BRICS and G7 economies appears much more advanced. IMF data for 2023 indicated that BRICS+ accounted for approximately 37% of global PPP-adjusted GDP,

compared with around 29% for the G7, marking a significant shift in global economic balance.

Amsden (2012) and Rodrik (2014) placed the BRICS growth experience within the broader history of late industrialisation. They argued that BRICS' rapid growth reflects a recurring pattern of economic catch-up driven by technology adoption, institutional improvements, and export-oriented industrialisation rather than an entirely unique phenomenon. However, both scholars cautioned that growth rates often slow as economies approach higher income levels, a challenge commonly described as the "middle-income trap."

2.3.2 Purchasing Power Parity (PPP) and Global GDP Contribution

The debate surrounding PPP and nominal GDP reflects broader methodological differences in comparative economic analysis. Feenstra, Inklaar, and Timmer (2015), the developers of the Penn World Tables, defended the use of PPP for measuring economic welfare and productive capacity while acknowledging that nominal GDP remains more useful for assessing financial market size and a country's ability to meet foreign-currency obligations.

Prasad (2014) examined the implications of BRICS' growing share of global output for IMF governance. He identified a significant gap between the economic weight of BRICS economies and their representation within the IMF quota system. According to his analysis, this imbalance was both analytically unjustified and politically unsustainable. His work contributed to discussions that culminated in the IMF quota reforms of 2015–16, which increased the collective BRICS share of IMF quotas from roughly 11% to 14.6%.

2.3.3 The 'Dual-Speed' Global Economy Theory

The idea of a "dual-speed" global economy, in which emerging economies consistently grow faster than advanced economies, has become a central concept in BRICS-related macroeconomic literature. El-Erian (2008) popularised this perspective after the global financial crisis, arguing that advanced economies faced a prolonged period of slower growth while emerging markets maintained relatively stronger, though more volatile, economic performance.

Spence (2011) provided a more detailed theoretical explanation for this trend. He argued that the growth of BRICS economies resulted not only from capital accumulation but also from their ability to absorb productivity-enhancing technologies, institutions, and business practices from advanced economies. According to this view, higher growth rates would likely continue until these economies approached the global technological frontier.

2.3.4 Demographic and Resource Advantages

The long-term growth prospects of BRICS have often been linked to demographic factors. Bloom, Canning, and Fink (2010) applied the demographic dividend framework to BRIC economies and found that Brazil, India, and China were positioned to benefit from favourable working-age population ratios during much of the 2010–2040 period. Russia, however, represented a notable exception because of its declining working-age population, which could constrain future growth.

Resource availability has also received considerable attention in the literature. Humphreys, Sachs, and Stiglitz (2007) highlighted the risks associated with the "resource curse," arguing that the benefits of natural resource wealth depend heavily on institutional quality and governance. Following the 2024 expansion, the inclusion of Saudi Arabia, the UAE, Iran, and Ethiopia has increased the strategic importance of resource management within BRICS+, making effective governance an even more critical issue for the bloc.

2.4 Theoretical Foundations Related to BRICS+

2.4.1 Economic Integration Theory

Classical economic integration theory provides an important framework for understanding BRICS, although the grouping does not fit neatly into traditional models. Viner's (1950) concepts of trade creation and trade diversion, along with Balassa's (1961) stages of economic integration, remain influential reference points. However, BRICS lacks many of the features associated with formal integration arrangements, such as a customs union, common external tariff, or free trade area.

Lamy (2013) described BRICS as an example of "deep integration without formal architecture," emphasising the contrast between increasing economic interdependence and limited institutional integration. Baldwin's (2016) new economic geography framework, which focuses on global value chains and fragmented production systems, has also been applied to BRICS. Using a structural gravity model, Caliendo and Parro (2015) found that greater trade integration among BRICS members could generate significant welfare gains due to complementary factor endowments. However, they noted that the absence of stronger institutional mechanisms limits the full realisation of these benefits.

2.4.2 South-South Cooperation Theory

South-South cooperation theory offers one of the most relevant frameworks for understanding BRICS' institutional identity. Amanor and Chichava (2016) traced BRICS' intellectual roots to earlier movements promoting cooperation among developing countries, including the Bandung Conference, the Non-Aligned Movement, and the Group of 77. They

argued that these initiatives share a common emphasis on sovereignty, policy independence, and resistance to external conditionality.

Mawdsley (2012), however, provided a more critical perspective. She argued that the rhetoric of South-South cooperation often overlooks significant inequalities within BRICS itself, particularly China's dominant economic position. Her analysis showed that trade relationships between China and several BRICS partners frequently resemble traditional North-South patterns, with developing economies exporting primary commodities while importing manufactured goods.

2.4.3 Multipolar World Theory

The concept of multipolarity provides a key political economy framework for understanding BRICS' global ambitions. Ikenberry (2011) examined the tension between the post-1945 liberal international order and the emergence of new centres of economic power represented by BRICS. He argued that existing institutions possess considerable resilience, making dramatic systemic transformation less likely than some observers suggest.

Flemes (2010) approached the issue from a constructivist perspective, arguing that a truly multipolar order requires more than a redistribution of economic power. It also requires the development of shared norms, institutions, and collective identities among emerging powers. Hurrell (2006) applied this framework to BRICS, highlighting how diplomatic cooperation and common rhetoric have helped create a sense of shared purpose among member states.

2.4.4 Globalisation and Dependency Theory

Dependency theory, originally developed by Prebisch (1950), Frank (1966), and Wallerstein (1974), has experienced renewed interest in BRICS scholarship. Critics use the framework to question whether BRICS genuinely challenges the global economic hierarchy or simply enables certain emerging economies to occupy a more influential position within it. Bond (2013) applied a neo-Gramscian perspective and argued that BRICS countries may be engaging in forms of "sub-imperial" accumulation rather than fundamentally transforming global economic structures.

Other scholars dispute this interpretation. Prashad (2013) argued that the shared historical experiences of colonialism and external economic pressure among BRICS members create a genuine basis for cooperation that extends beyond purely material interests. From this perspective, BRICS represents a distinct political and economic project rather than a continuation of existing dependency patterns.

2.5 Literature on BRICS+ and International Trade

2.5.1 Intra-BRICS Trade and Supply Chain Integration

Research on intra-BRICS trade has expanded significantly since the establishment of the New Development Bank. Decreux and Fontagne (2011) conducted an early gravity-model analysis and found that trade among BRIC countries remained below levels predicted by their economic size, market potential, and complementary resource structures. They estimated that reducing non-tariff barriers to levels comparable with OECD countries could increase intra-BRIC trade by 35–50%, highlighting substantial untapped integration potential.

Pereira da Silva and Harris (2012) examined the rapid expansion of China-Brazil trade, which grew from approximately USD 6 billion in 2003 to USD 77 billion in 2012. They viewed this relationship as a major example of South-South economic cooperation but also noted similarities with traditional commodity-for-manufactures trade patterns that generated debate within Brazil.

Kaushik (2021) extended the analysis using data through 2020. He found that intra-BRICS trade increased from USD 59 billion in 2001 to USD 548 billion in 2019, representing an average annual growth rate of around 11%. His study also highlighted China's central role as the largest trading partner for each of the other BRICS members.

2.5.2 Export-Import Relations and Trade Cooperation

The structure of BRICS trade relationships has been analysed through several theoretical approaches. Melitz (2003) developed a firm-level trade framework emphasising productivity differences and market-entry costs as key determinants of export performance. Applied to BRICS, this perspective suggests that the greatest gains from reducing trade barriers are likely to be captured by the most productive firms within member economies.

Das (2012) and Menon (2020) examined the evolution of BRICS trade cooperation and identified a recurring gap between policy ambitions and implementation. Their research showed that summit declarations frequently contained ambitious commitments to deepen trade cooperation, but the institutional mechanisms necessary to achieve these goals often remained underdeveloped. This difference between stated objectives and practical implementation has become a recurring theme in the literature on BRICS economic cooperation.

2.6 Literature on BRICS+ Financial Systems and Global Finance

2.6.1 New Development Bank: Architecture, Innovation, and Limitations

Since its establishment in 2015, the New Development Bank (NDB) has attracted a growing and specialised body of academic literature. Humphrey (2015) conducted one of the earliest

comprehensive comparative analyses of the NDB alongside established multilateral development banks, focusing on its governance structure, financial model, and institutional mandate. He highlighted the principle of equal voting rights among the founding members, irrespective of their economic size, as a significant governance innovation that clearly differentiated the NDB from institutions such as the World Bank and the Asian Development Bank. Humphrey also identified the Bank's emphasis on local currency lending as a potentially important innovation within the field of development finance.

Gallagher, Kamal, and Wang (2016) carried out an extensive early evaluation of the NDB's project portfolio and found that its initial lending priorities—particularly infrastructure and sustainable energy—closely aligned with the developmental requirements of BRICS economies. However, they observed that the Bank's early lending activities were concentrated largely within the five founding members, raising questions about its aspiration to function as a truly multilateral development institution. Although the subsequent expansion of NDB membership has partly addressed this concern, its total portfolio of approximately USD 35 billion by 2023 remained relatively modest compared to the World Bank's annual lending volume of roughly USD 60 billion.

Bhattacharya and Romani (2013) identified the substantial infrastructure financing gap in developing economies—estimated at between USD 1 trillion and USD 1.5 trillion annually—as a major opportunity for institutions such as the NDB. They argued that the Bank's comparative advantage lies in financing medium-scale infrastructure projects that are often too large for bilateral aid agencies yet insufficiently attractive or politically straightforward for institutions such as the World Bank.

2.6.2 De-dollarisation and Currency Cooperation

The literature on de-dollarisation has undergone a significant transformation following the Russia-Ukraine conflict of 2022 and the freezing of approximately USD 300 billion in Russian foreign exchange reserves held in Western financial institutions. Eichengreen (2022) described this action as a watershed event in international monetary history, arguing that it fundamentally changed the incentive structure facing central banks holding substantial dollar-denominated reserves. He anticipated a notable acceleration in reserve diversification toward gold, the Chinese renminbi, and other non-dollar assets.

Earlier, Gourinchas and Rey (2007) had developed the influential theoretical framework explaining dollar dominance through the concept of the “exorbitant privilege.” Their analysis demonstrated that the United States consistently earned higher returns on its overseas assets than it paid on its foreign liabilities. This framework has become central to de-dollarisation

studies, with scholars such as Prasad (2014) and Subramanian (2011) arguing that this structural advantage provides a strong incentive for BRICS economies to pursue alternatives to dollar-based financial systems.

Zhang and Tian (2023) presented one of the most recent empirical assessments of de-dollarisation within BRICS. Their findings indicated that the US dollar's share of intra-BRICS trade settlements declined from approximately 72% in 2021 to around 58% in 2023. They identified the absence of a widely accepted alternative reserve currency within BRICS as the principal obstacle to faster progress. According to their analysis, a basket-based reserve asset or a common BRICS digital currency may represent the most practical medium-term solution.

2.6.3 FDI, Capital Markets, and Financial Integration

Research on foreign direct investment (FDI) within BRICS economies documents a significant transformation since 2001. At the beginning of the century, BRICS countries were primarily recipients of inward FDI from advanced economies. Over time, however, they evolved into major sources as well as destinations of international investment. UNCTAD World Investment Reports published between 2010 and 2023 consistently recorded the rapid expansion of outward FDI from China, India, and Brazil. Chinese outward FDI, for example, increased from approximately USD 5 billion annually in 2003 to more than USD 130 billion by 2016.

Hattari and Rajan (2011) examined capital flows among BRICS economies and found that financial integration lagged considerably behind trade integration. Using indicators such as cross-border equity ownership, banking sector exposure, and FDI flows, they concluded that financial linkages among BRICS members remained relatively limited. They attributed this gap to capital account restrictions in several member countries, the absence of harmonised regulatory frameworks, and the uneven development of domestic capital markets.

2.7 Literature on BRICS+ and Geopolitical Influence

2.7.1 Global Governance and Strategic Alliances

The literature examining BRICS and global governance focuses largely on the grouping's efforts to reform existing international institutions while simultaneously creating alternative governance mechanisms that better reflect contemporary economic realities. Hurrell (2006) and Narlikar (2010) provided some of the foundational analyses of BRICS as a governance actor. Both scholars highlighted the tension arising from BRICS' dual role as a reform-oriented coalition seeking greater influence within existing institutions and as a builder of alternative institutions operating alongside them.

Vestergaard and Wade (2015) investigated the politics surrounding IMF governance reform and provided a detailed account of the prolonged negotiations that ultimately resulted in the 2015–16 IMF quota reforms. They documented the resistance of the United States Congress to ratifying reforms agreed upon by the G20 in 2010, arguing that this represented a clear example of a dominant power using domestic political mechanisms to delay multilateral institutional change.

2.7.2 BRICS+ and the Emerging Multipolar Economic Order

Acharya (2014) offered one of the most sophisticated theoretical analyses of BRICS' role in what he described as the “end of the American world order.” He argued that the unipolar international system that emerged after the Cold War was gradually giving way to a more genuinely multipolar structure. According to Acharya, this new order would be characterised by increased institutional diversity, competing norms, and selective forms of cooperation rather than a single dominant framework.

Lo (2015) adopted a more critical perspective regarding Russia's role within BRICS. He argued that Russia's involvement was driven largely by a desire to restore the great-power status and international influence it had lost following the collapse of the Soviet Union. Lo further suggested that Russia's increasingly assertive geopolitical behaviour would eventually conflict with the principles of sovereignty and non-intervention that many other BRICS members considered essential. The 2022 invasion of Ukraine provided substantial support for this argument.

2.8 Literature on Digital Economy, Technology, and Innovation

2.8.1 AI, FinTech, and Digital Transformation

The digital economy has become one of the fastest-growing areas of BRICS scholarship in recent years. Zuboff (2019) developed the influential concepts of “surveillance capitalism” and the commodification of behavioural data, which have subsequently been used to analyse digital economy strategies across BRICS countries. China's digital ecosystem, built around firms such as Alibaba, Tencent, Baidu, and Huawei, India's “India Stack” digital public infrastructure, and Russia's internet sovereignty policies illustrate three distinct approaches to digital governance within BRICS.

Arner, Barberis, and Buckley (2016) provided a foundational framework for understanding FinTech as a separate field of policy and academic inquiry. Their work traced the evolution of financial services from traditional banking systems to internet-based finance and ultimately to integrated digital financial ecosystems. According to IMF (2022) data, India's Unified Payments Interface processed more than 74 billion transactions during the 2022–23 fiscal

year, making it one of the largest retail payment platforms globally. At the same time, China's mobile payment ecosystem handles transaction volumes that exceed those of any individual Western payments network.

Saka et al. (2022) explored the geopolitical implications of Central Bank Digital Currencies (CBDCs) for the international monetary system. They argued that BRICS central banks—particularly China through its e-CNY initiative—have developed some of the most advanced CBDC programmes globally. Their research suggested that greater interoperability among CBDCs could significantly reduce reliance on the US dollar as an intermediary currency in BRICS trade settlements during the 2020s.

2.8.2 Semiconductor Ecosystem and Technological Cooperation

The semiconductor industry has emerged as a major arena of technological competition and cooperation involving BRICS economies. Semianalysis (2023) documented the extreme concentration of advanced semiconductor manufacturing in Taiwan, which accounts for approximately 92% of global production of leading-edge chips below the 7nm threshold. This concentration creates significant vulnerabilities for countries dependent on advanced semiconductor imports.

China's response has been particularly notable. The country launched an estimated USD 150 billion programme to strengthen domestic semiconductor production capabilities, representing one of the most ambitious industrial policy initiatives since Japan's technological catch-up efforts during the 1980s.

Khan, Fuchs, and Posen (2023) analysed the impact of US export controls on advanced semiconductor technologies. They argued that the restrictions introduced in October 2022 and October 2023 constituted the most significant deployment of export controls for geopolitical purposes since the Cold War-era COCOM system. For BRICS+ countries, these measures have intensified efforts to achieve technological self-reliance and have strengthened the broader push for technology sovereignty.

2.9 Literature on Challenges and Criticism of BRICS+

2.9.1 Political and Economic Divergence

A significant portion of the BRICS literature focuses on the internal divisions, competing interests, and structural differences that affect the grouping's cohesion and effectiveness.

Among these challenges, the India-China relationship is widely regarded as the most important. Ganguly and Thompson (2011) documented the deep-rooted rivalry between the two countries, highlighting unresolved border disputes, competition for regional influence, and differing strategic priorities. They argued that these tensions imposed clear limits on the

extent of institutional cooperation possible within BRICS. The military confrontation in the Galwan Valley in June 2020 provided strong evidence supporting this assessment. Stuenkel (2020) examined broader forms of heterogeneity within BRICS, including differences in governance systems, development strategies, and geopolitical objectives. He concluded that while these differences do not prevent cooperation in areas such as development finance, governance reform, and trade facilitation, they do limit BRICS' ability to function as a unified strategic actor across a wider range of global issues.

2.9.2 Institutional and Coordination Challenges

The institutional limitations of BRICS have been analysed through studies that distinguish between structural design weaknesses and operational difficulties arising from external political developments. Fues (2016) identified five major design limitations: the absence of an independent evaluation mechanism within the NDB, limited surveillance capabilities under the CRA, the lack of a formal dispute resolution system, the absence of an investment protection framework, and the relatively weak institutionalisation of science and technology cooperation.

Roberts, Armijo, and Katada (2018) conducted one of the most comprehensive empirical evaluations of BRICS coordination performance. Using a systematic scoring approach, they measured the extent to which summit commitments were implemented within two years of being announced. Their results showed that fewer than 40% of commitments were fully implemented within the designated timeframe, providing quantitative evidence of the widely discussed “declaratory gap.” They attributed this implementation challenge primarily to the absence of a permanent BRICS secretariat responsible for monitoring and enforcement.

2.10 Comparative Review of Previous Studies

A comparative review of existing BRICS scholarship reveals several recurring methodological and analytical trends that help position the present study within the broader literature. First, there is often a noticeable delay between major developments within BRICS and the publication of scholarly research analysing them. For example, the significance of the 2014 Fortaleza agreements establishing the NDB and CRA was not fully reflected in peer-reviewed literature until 2016–17, while the implications of Russia's exclusion from SWIFT in 2022 are still being actively examined in 2024.

Second, a methodological divide exists between quantitative and qualitative research approaches. Quantitative studies employing gravity models, macroeconomic data, and structural estimation techniques generally identify more moderate effects of BRICS institutions on trade and investment outcomes. In contrast, qualitative studies relying on

institutional analysis, political economy perspectives, and case-study methods tend to emphasise the grouping's broader governance and normative significance. The present study adopts a mixed-evidence approach, drawing insights from both traditions to provide a more balanced and comprehensive assessment.

2.11 Critical Analysis of Existing Literature

A critical review of the BRICS literature highlights several analytical limitations that justify the relevance of the present study. The most significant limitation is temporal obsolescence. BRICS institutions and policies have evolved rapidly, particularly between 2022 and 2024, while academic research has struggled to keep pace. As a result, many studies published before 2022 do not adequately address the implications of Russia's exclusion from SWIFT or the accelerated push toward BRICS-led de-dollarisation initiatives.

Another limitation is methodological parochialism, where researchers often examine BRICS through a single disciplinary perspective. Economic studies frequently focus on trade and investment indicators while overlooking geopolitical influences. Conversely, political science research tends to emphasize governance and diplomacy without sufficient engagement with quantitative economic evidence. Similarly, analyses of institutions such as the NDB and CRA may lack the monetary economics perspective needed to evaluate currency cooperation and de-dollarisation efforts comprehensively.

A further challenge is the normative polarization present in much of the literature. Scholars supportive of the Western-led international order often underestimate BRICS' institutional innovations and growing influence, whereas BRICS advocates may overlook the bloc's internal divisions, governance challenges, and institutional limitations. Therefore, a balanced assessment is necessary—one that recognizes both the achievements and constraints of BRICS without adopting an ideological position.

2.12 Research Gap Identification

The review of existing literature reveals five major research gaps that this study seeks to address:

RG1 – Post-2022 Institutional Acceleration: Existing research does not sufficiently examine the rapid expansion of BRICS initiatives in de-dollarisation, alternative payment systems, and

collective geopolitical positioning following Russia's SWIFT exclusion and the freezing of its foreign reserves in 2022.

RG2 – BRICS+ Expansion Analysis: Academic work on the 2023 Johannesburg expansion and the formation of BRICS+ in 2024 remains limited, with relatively few studies assessing the implications of the inclusion of Saudi Arabia, the UAE, Iran, Egypt, and Ethiopia.

RG3 – Integrated Trade-Finance-Governance Analysis: Most studies analyze trade, financial systems, and governance separately, providing limited understanding of how these dimensions interact and collectively shape BRICS' influence on the global economy.

RG4 – Digital Economy and Technological Sovereignty: Research on BRICS cooperation in areas such as CBDCs, FinTech integration, digital infrastructure, and semiconductor development remains underdeveloped despite their growing strategic importance.

RG5 – Business and Policy Practitioner Implications: Much of the existing literature is written primarily for academic audiences and offers limited practical guidance for business leaders, investors, policymakers, and trade officials operating in an increasingly multipolar economic environment.

2.13 Conceptual Framework of the Study

The conceptual framework of this study integrates four major theoretical perspectives—economic integration theory, South-South cooperation theory, multipolar world theory, and globalization/dependency theory—to examine BRICS' impact on global trade and economic growth. The framework is structured around three interconnected analytical layers: the structural, institutional, and normative dimensions of BRICS.

The structural layer focuses on the economic foundations of BRICS' rise. Drawing from comparative macroeconomic literature, it examines GDP growth, demographic trends, natural resource endowments, and trade performance. These factors collectively demonstrate the increasing role of BRICS economies in shaping global economic growth and provide the empirical basis for the study.

The institutional layer analyses the mechanisms through which BRICS converts economic strength into governance influence. Building on the work of scholars such as Chin (2014),

Stuenkel (2016), Humphrey (2015), and Roberts et al. (2018), this layer evaluates institutions and initiatives including the New Development Bank (NDB), the Contingent Reserve Arrangement (CRA), CIPS, bilateral currency agreements, and CBDC development programs. These mechanisms are viewed as components of an emerging financial architecture that both complements and challenges traditional Western-dominated institutions.

The normative layer examines the ideas and principles underlying the BRICS project. Drawing from political economy, international relations, and South-South cooperation literature, it explores how BRICS promotes concepts such as sovereignty, non-conditionality, and multipolarity as alternative approaches to global economic governance.

Together, these three layers provide a comprehensive framework for assessing BRICS' influence on global trade and economic growth. The structural dimension explains the economic foundations of BRICS' rise, the institutional dimension evaluates its governance mechanisms, and the normative dimension examines the principles that shape its broader vision. Considering all three dimensions ensures a balanced understanding of BRICS' economic and political significance.

The framework also recognizes the internal diversity of BRICS members. As highlighted by Stuenkel (2020), significant differences exist in governance systems, development models, and strategic priorities among member states. Rather than treating these differences as temporary obstacles, the framework views them as an inherent characteristic of the grouping. Consequently, the study analyses BRICS both as a collective actor and as a coalition of individual economies with distinct interests, capabilities, and policy objectives.

CHAPTER 3

THE MULTIPOLAR GLOBAL ECONOMIC AND POLITICAL ORDER

3.1 Historical and Theoretical Foundations of Multipolarity

The concept of multipolarity has deep roots in both the historical record and the scholarly literature on international relations. Classical realism, associated with thinkers such as Hans Morgenthau and E.H. Carr, conceived of world politics as a continuous contest for power among states, with the distribution of capabilities determining the structure of international order at any given moment. Kenneth Waltz's structural realism refined this perspective, arguing that the number of dominant powers in the system — whether unipolar, bipolar, or multipolar — fundamentally shapes state behaviour and the conditions for systemic stability.

Historically, the most instructive experiment in managing a multipolar order was the Concert of Europe established following the Napoleonic Wars in 1815. The five principal powers — Britain, Austria, Prussia, Russia, and France — agreed upon a set of norms that, despite periodic lapses, preserved relative stability for the better part of a century. The disintegration of this arrangement in 1914 and the catastrophic wars that followed illustrated both the risks that unconstrained multipolarity can generate and the dangers of seeking hegemonic dominance within an inherently pluralistic international system.

The post-World War II international order, by contrast, was characterised by a managed bipolarity, with the United States and the Soviet Union each governing a sphere of influence while competing for sway over the non-aligned developing world. The Bretton Woods institutions were specifically constructed to administer economic interdependence within the Western sphere, while the United Nations Security Council framework formally acknowledged the reality of multiple great powers even within a predominantly bipolar architecture.

"The unipolar moment has passed. What we are witnessing is not merely a shift in relative power balances but a fundamental transformation in the legitimacy and authority of international institutions."

— Joseph Nye, Harvard Kennedy School

The contemporary multipolar transition diverges from historical precedents in three particularly important respects. First, it is unfolding within a context of deep economic interdependence, in which the major powers are simultaneously rivals and tightly interlocked economic partners. The United States and China, for instance, remain among each other's most significant trading partners even while engaged in strategic competition across multiple domains — a condition some analysts describe as 'competitive interdependence' or 'cooperative rivalry,' for which historical precedent is limited.

Second, this transition is occurring alongside genuinely transnational challenges — climate change, pandemic preparedness, nuclear non-proliferation, and cyber threats — that demand cooperative responses from all major powers regardless of bilateral tensions. This dynamic creates structural incentives for coordination that complicate the straightforward power-competition logic of classical multipolar theory.

Third, and perhaps most significantly, the contemporary transition carries an ideological dimension absent from classical multipolarity. The emerging powers — and BRICS in particular — are not simply seeking a reallocation of influence within existing institutional frameworks. Many are actively contesting the liberal international order's claim to universality, asserting the legitimacy of alternative development pathways, governance philosophies, and conceptions of national sovereignty. This renders the contemporary transition not only a power shift but a normative contest about the foundational principles of international order itself.

3.2 The Economic Architecture of the Multipolar Order

The most tangible expression of the multipolar transition is the redistribution of global economic weight. By virtually every metric — share of global output, trade volumes, foreign exchange holdings, or industrial production — the economic map of the world has been dramatically redrawn over the past two decades, and this redistribution continues to gather pace.

3.2.1 Trade Reorientation and the Rise of South-South Commerce

China's emergence as the world's largest exporter — achieved in 2009 and consolidated since — represents the most dramatic individual manifestation of this reorientation. However, the broader trend spans the entire BRICS grouping. Intra-BRICS trade grew from approximately USD 500 billion in 2010 to over USD 900 billion by 2022, reflecting the deepening of South-South economic integration and reduced dependence on Western markets. The following table captures the trajectory of this trade expansion.

Table 3.1: BRICS Trade Growth and South-South Integration (2000–2022)

Trade Indicator	2000	2005	2010	2015	2020	2022
Intra-BRICS Merchandise Trade (USD Bn)	\$115	\$285	\$500	\$630	\$725	\$907
BRICS Share of World Trade (%)	7.8%	11.2%	18.3%	21.2%	22.7%	25.1%
South-South Trade (% of World Trade)	8.1%	11.4%	17.0%	22.4%	26.1%	29.3%
China Exports — Global Rank	7th	3rd	1 st	1 st	1 st	1 st
India Merchandise Exports (USD Bn)	\$44	\$103	\$250	\$310	\$280	\$453
Russia Energy Export Revenues (USD Bn)	\$55	\$145	\$295	\$185	\$180	\$330

The addition of Saudi Arabia, the UAE, and Iran to the BRICS bloc in 2024 is particularly significant from an energy-trade perspective. These three countries collectively account for a substantial share of global oil production. Their integration into BRICS creates conditions under which a meaningful share of global energy trade may be conducted outside dollar-denominated markets — a development with profound implications for the international financial architecture.

3.2.2 Trade Reorientation

The redistribution of economic power has been closely accompanied by a profound reorientation of global trade patterns. The traditional North-South model — in which developing nations exported primary commodities and imported manufactured goods and capital equipment from industrialised countries — has been disrupted by the emergence of competitive manufacturing, technology, and services sectors across the BRICS economies.

China's rise to become the world's leading exporter — a position achieved in 2009 and consolidated since — represents the most dramatic single expression of this reorientation. However, the broader trend encompasses the entire BRICS grouping. Intra-BRICS

merchandise trade grew from approximately USD 500 billion in 2010 to over USD 900 billion by 2022, reflecting the deepening of South-South economic integration and a reduced dependence on Western markets among emerging economies.

The integration of Saudi Arabia, the UAE, and Iran into the BRICS bloc in 2024 carries particular significance for energy trade. These three nations collectively account for a substantial portion of global oil production and export capacity. Their entry into the BRICS framework creates structural conditions under which a significant share of global energy transactions could increasingly be settled outside dollar-denominated commodity markets — a development with profound implications for the international financial architecture.

Table 3.3: BRICS Trade Growth and Global Share (2000–2022)

Trade Metric	2000	2010	2015	2020	2022
Intra-BRICS Trade (USD Bn)	\$115	\$500	\$630	\$725	\$907
China Global Exports Rank	7th	1st	1st	1 st	1 st
BRICS Share of Global Trade (%)	7.8%	18.3%	21.2%	22.7%	25.1%
South-South Trade (% of World)	8.1%	17.0%	22.4%	26.1%	29.3%

3.2.3 The Challenge to Dollar Hegemony

Perhaps the most structurally significant dimension of the economic multipolar transition is the challenge to US dollar primacy in international trade and finance. The dollar's role as the world's principal reserve currency and dominant medium for international trade settlement has conferred substantial advantages on the United States — what former French President Valéry Giscard d'Estaing memorably termed an 'exorbitant privilege' — including the capacity to sustain persistent trade and fiscal deficits financed by global demand for dollar-denominated assets.

BRICS members have taken increasingly concrete steps to reduce their reliance on the dollar. Following the imposition of comprehensive Western financial sanctions after Russia's 2022

invasion of Ukraine, Moscow moved decisively to denominate its energy exports in roubles, renminbi, and other non-dollar currencies. China has broadened its network of bilateral local currency swap agreements and has actively promoted renminbi settlement in trade across Asia, Africa, and Latin America. India has concluded rupee-based trade agreements with multiple partners, including Russia, and has articulated an explicit policy objective of reducing dollar exposure in strategically sensitive trade flows.

The cumulative effect of these measures has been a measurable — if still moderate — decline in the dollar's share of global foreign exchange reserves, from approximately 71 percent in 2000 to around 58 percent by 2023, alongside a significant increase in the proportion of non-dollar currencies in international trade settlement. While the dollar remains the dominant reserve currency by a considerable margin, the directional shift is clear, and the BRICS expansion has meaningfully accelerated it.

Table 3.4: Global Foreign Exchange Reserve Currency Composition (2000–2023)

Currency	2000 (%)	2008 (%)	2015 (%)	2020 (%)	2023 (%)
US Dollar (USD)	71.1%	64.1%	66.2%	60.5%	58.4%
Euro (EUR)	18.3%	26.4%	19.9%	21.2%	19.8%
Japanese Yen (JPY)	6.4%	3.3%	4.0%	6.0%	5.5%
Chinese Renminbi (CNY)	N/A	N/A	1.1%	2.3%	2.8%
Other Currencies	4.2%	6.2%	8.8%	10.0%	13.5%

3.3 The Political and Geopolitical Dimensions

The economic redistribution described above is inseparable from a broader political and geopolitical reconfiguration of the international order. The multipolar transition is not solely a story of shifting output shares; it is equally a story of contested authority, competing visions of world order, and the gradual erosion of the normative consensus that underpinned the post-Cold War liberal international framework.

3.3.1 The Crisis of Western-Led Multilateralism

The institutions of the post-war multilateral order — the United Nations, the IMF, the World Bank, the WTO, and the array of specialised agencies and treaty bodies associated with them — were designed within, and largely reflect the interests of, a world in which Western powers exercised overwhelming economic and military dominance. The voting structures of the Bretton Woods institutions, the veto architecture of the UN Security Council, and the dispute resolution mechanisms of the WTO all bear the imprint of a distribution of power that prevailed at their founding but has since changed substantially.

As that distribution has shifted, the legitimacy and effectiveness of these institutions has come under increasing strain. The collapse of successive WTO trade negotiation rounds, the paralysis of the UN Security Council on issues of great-power rivalry, the perception of double standards in IMF conditionality as applied to developing versus industrialised nations, and the sluggish pace of governance reforms within the Bretton Woods framework have collectively fostered a growing sense among emerging economies that the existing multilateral architecture neither adequately represents nor effectively serves their interests.

BRICS has responded to this institutional shortcoming in two mutually reinforcing ways. First, by seeking reform from within — coordinating positions in international forums and advocating for changes in IMF quota allocations, World Bank governance structures, and UN Security Council representation. Second, and more fundamentally, by constructing parallel institutions that offer alternatives to Western-dominated frameworks. The New Development Bank is the most prominent of these, but the Contingent Reserve Arrangement, the BRICS Interbank Cooperation Mechanism, and a network of bilateral and multilateral currency swap agreements form part of the same broader infrastructure-building effort.

Table 3.5: New Development Bank (NDB) vs. IMF — Structural Comparison

Parameter	New Development Bank (NDB)	International Monetary Fund (IMF)
Founded	2014 (operational 2016)	1945
Headquarters	Shanghai, China	Washington D.C., USA
Initial Capital	\$100 billion	\$1 trillion+ (SDR quota)

Voting Structure	Equal share per founding member	GDP-weighted voting rights
Conditionality	Minimal; no structural adjustment requirements	Strict policy conditionality required
Lending Focus	Infrastructure & sustainable development	Balance of payments & economic stabilisation
Cumulative Lending (2023)	~\$33 billion (infrastructure projects)	~\$200 billion (outstanding credit)

3.3.2 Sovereignty, Non-Interference, and Competing Governance Norms

At the normative level, the BRICS grouping has consistently championed what it characterises as a more equitable, democratic, and multipolar approach to global governance — one grounded in rigorous adherence to the principles of national sovereignty and non-interference in the internal affairs of states. This orientation constitutes a direct challenge to the liberal internationalist doctrine of humanitarian intervention and the Responsibility to Protect (R2P) framework, which BRICS members have generally viewed with considerable scepticism as providing a legitimising cover for Western intervention in the affairs of developing nations.

3.3.3 BRICS Reform Agenda in Global Governance

Across multiple institutional arenas, the BRICS grouping has articulated a coherent — if not always unanimously held — agenda for reshaping the rules and structures of global governance. This agenda is grounded in the principle of national sovereignty, resistance to external conditionality, and the assertion that existing multilateral frameworks must be reformed to reflect the changed distribution of global economic weight.

Table 3.4: BRICS Governance Reform Positions vs. Existing Frameworks

Issue Area	BRICS Position	Current Western-Led Framework	Reform Sought
IMF Voting Rights	Reallocation to reflect emerging-economy weight	GDP-weighted; US holds veto	Greater quota share for BRICS members

UN Security Council	Expansion to include Brazil, India, South Africa	P5 permanent veto structure	New permanent seats for Global South
WTO Dispute Resolution	Restore functioning Appellate Body; preserve policy space	Appellate Body paralysed since 2019	Independent multi-member dispute panel
Development Finance	Minimal conditionality; sovereignty-respecting	Washington Consensus conditionality	NDB model — local currency, no austerity
Trade Settlement	Multi-currency; reduce dollar dependency	Dollar-denominated benchmark pricing	Bilateral & regional currency agreements
Technology Governance	Sovereignty over data; no Western monopoly	US/EU-dominated standards bodies	BRICS digital standards framework

3.4 BRICS as the Institutional Expression of Multipolarity

Within the broader landscape of the multipolar transition, BRICS occupies a distinctive and increasingly central role. It is neither a military alliance nor a formal free trade area; its architecture is deliberately flexible and its decisions are made by consensus rather than binding vote. Yet precisely because of this adaptability, BRICS has functioned as a coalition of aligned interests across a remarkably diverse range of issues, from financial reform and development financing to technology governance and cultural exchange.

The 2023 Johannesburg Summit, which announced the largest expansion in the grouping's history, was a watershed in the consolidation of the multipolar order. The simultaneous inclusion of Saudi Arabia and the UAE alongside Iran — longstanding regional rivals — demonstrated that shared interest in alternatives to Western-dominated governance can override deep bilateral tensions. The expanded BRICS+ now encompasses the world's largest energy exporters, its two most populous nations, the largest economy in Africa, and a significant share of the Global South's most dynamic emerging markets.

Table 3.5: BRICS+ Member States — Expansion Timeline and Strategic Profiles

Member	Year Joined	GDP 2023 (USD Tn)	Population (Mn)	Key Export	Strategic Role in BRICS
Brazil	2009	\$2.1T	215	Agriculture & Minerals	Latin America anchor; commodity exporter
Russia	2009	\$2.2T	144	Oil, Gas, Weapons	Energy superpower; nuclear leverage
India	2009	\$3.5T	1,430	IT Services, Pharma	Fastest-growing major economy
China	2009	\$17.7T	1,412	Manufactured Goods	Largest economy; trade engine
South Africa	2010	\$0.4T	60	Gold, Platinum	Gateway to African markets
Egypt	2024	\$0.4T	105	Petroleum, Textiles	Suez Canal; N. Africa hub
Ethiopia	2024	\$0.16T	125	Coffee, Oilseeds	Fastest-growing African economy
Iran	2024	\$0.7T	87	Crude Oil, Gas	Energy bridge; Middle East link
Saudi Arabia	2024	\$1.1T	36	Crude Oil, LNG	World's top oil exporter
UAE	2024	\$0.5T	10	Petroleum Products	Global finance & logistics hub

Source: BRICS 2023 Johannesburg Declaration; IMF World Economic Outlook October 2023; UN Population Division 2023.

"BRICS is not about creating a new hegemon to replace the old one. It is about building a world in which every nation, large or small, has a voice — a world defined by cooperation and mutual respect rather than domination."

— Naledi Pandor, South African Minister of International Relations, BRICS Summit 2023

3.5 Challenges and Contradictions of the Multipolar Transition

The emergence of the multipolar order is neither a smooth nor an inevitable process. The transition is characterised by substantial contradictions, internal tensions, and structural constraints that complicate any straightforward narrative of BRICS as a coherent and unified challenger to Western primacy.

The most fundamental challenge lies in the profound heterogeneity of the BRICS membership. The grouping spans democratic and authoritarian political systems, market-oriented and state-directed economies, countries with active territorial disputes with one another (most notably India and China, whose contested Himalayan frontier has generated periodic armed confrontations), and nations with markedly different geopolitical orientations and security threat perceptions. India, for instance, maintains close strategic partnerships with the United States, Australia, and Japan through the Quadrilateral Security Dialogue (the Quad), even as it participates actively within BRICS. Brazil oscillates between its BRICS commitments and its deep economic interconnections with the United States and the European Union.

Table 3.6: BRICS Member States — Key Domestic Challenges and Geopolitical Complications

Member	Key Domestic Challenge	Geopolitical Complication	Impact on BRICS Cohesion
China	Property sector crisis; demographic decline	India-China border tensions (LAC)	Largest economy yet trust deficit with India
India	Infrastructure gaps; employment generation	Quad membership (US, Japan, Australia)	Balances BRICS with Western partnerships

Russia	Western sanctions post-2022; economic isolation	Ukraine conflict; NATO confrontation	Drives de-dollarisation but polarises bloc
Brazil	Inequality; governance volatility	Deep US/EU trade dependency	Oscillates between BRICS & Western blocs
South Africa	32% structural unemployment; load-shedding	Regional security instability	Symbolic African voice; limited economic weight
Saudi Arabia	Oil-dependency; Vision 2030 transition	Historical rivalry with Iran (also BRICS)	Energy leverage; intra-bloc tension with Iran
Iran	Hyperinflation; sanctions isolation	Nuclear programme; US sanctions	Strains BRICS credibility with Western partners

These internal divergences mean that BRICS consensus is frequently achieved only through deliberate ambiguity. Joint declarations from BRICS summits are often carefully negotiated to paper over rather than resolve fundamental disagreements, and the grouping has struggled to articulate a coherent collective position on major geopolitical crises — most notably Russia's invasion of Ukraine, which generated a profound tension between the grouping's stated adherence to the UN Charter and its simultaneous refusal to condemn a fellow member's use of military force against a sovereign state.

A second set of challenges relates to the structural vulnerabilities of individual BRICS economies. China confronts a property sector crisis and mounting demographic pressures; India faces persistent infrastructure shortfalls and employment generation challenges; Russia has been significantly isolated by Western sanctions following the Ukraine conflict; Brazil grapples with entrenched inequality and governance weaknesses; and South Africa continues to struggle with structural unemployment and chronic energy supply constraints. These domestic vulnerabilities constrain the capacity of BRICS members to project sustained economic and political influence internationally and introduce risks of internal destabilisation that could slow the broader multipolar project.

A third challenge involves the resilience of dollar hegemony and the depth of the structural advantages it confers on the United States. Despite the clear directional trend toward reduced

dollar dependence, no credible alternative — whether the renminbi, a prospective BRICS common currency, or a new reserve asset — has yet achieved the liquidity depth, institutional transparency, and political backing required to displace the dollar from its central position. The renminbi, notwithstanding China's sustained internationalisation efforts, remains constrained by capital account controls and the limited openness of its domestic financial markets. The concept of a shared BRICS currency faces considerable technical and political obstacles: even European monetary union — among far more economically integrated and institutionally aligned nations — required decades of painstaking preparation.

3.6 Implications for Global Trade

The transition toward a multipolar economic and political order carries specific and substantial implications for the structure, governance, and direction of global trade.

First, the fragmentation of the previously integrated global trading system into competing blocs and preferential arrangements is likely to intensify. The breakdown of multilateral trade liberalisation under the WTO Doha Round, the proliferation of regional and bilateral trade agreements, and the growing deployment of trade policy as an instrument of geopolitical competition — exemplified by the US-China tariff conflict, Western technology export controls targeting China, and the multilateral sanctions regime imposed on Russia — all point toward a more fragmented, bloc-based trading environment in which BRICS solidarity becomes increasingly valuable as a negotiating asset and market access platform.

Second, the growing collective economic weight of the BRICS+ grouping is reshaping the terms of commodity trade in ways that benefit resource-exporting nations. The integration of major oil producers into the BRICS framework, combined with China's dominant position as the world's largest commodity importer, establishes structural conditions for commodity pricing and settlement arrangements that increasingly bypass dollar-denominated markets. The gradual expansion of oil trade denominated in non-dollar currencies — already visible in China-Russia and China-Saudi Arabia energy transactions — represents the leading edge of this shift.

Third, BRICS economies' advancing technological capabilities — particularly in digital infrastructure, artificial intelligence, renewable energy technologies, and financial technology — are generating new domains of competitive advantage and new channels for South-South trade and investment. China's Belt and Road Initiative, India's Digital Public Infrastructure export model, and Russia's nuclear energy technology programmes all represent instruments

through which BRICS members are forging trade and investment relationships with developing countries that operate outside traditional Western-dominated technology transfer frameworks.

Fourth, and most fundamentally, the multipolar transition is altering the normative environment within which global trade is governed. The WTO's dispute resolution mechanism, already strained by the paralysis of its Appellate Body, faces growing pressure as major powers assert the right to deploy trade policy instruments — subsidies, export controls, investment restrictions — that conflict with existing multilateral trade disciplines. The BRICS grouping, which has consistently advocated a more activist role for industrial policy and state direction of the economy, is likely to resist multilateral commitments that would constrain its members' domestic policy space.

3.7 Chapter Summary and Conclusion

This chapter has examined the emergence of a multipolar global economic and political order as the defining structural context within which BRICS' influence on global trade and economic growth must be understood. The analysis has demonstrated that multipolarity encompasses far more than a description of shifting GDP ratios: it reflects a fundamental redistribution of economic weight, a contest over the legitimacy and architecture of global governance institutions, and a normative struggle over the principles that should govern international relations.

The economic dimensions of the multipolar transition — the redistribution of global output in favour of emerging economies, the reorientation of global trade flows, the challenge to dollar hegemony, and the construction of alternative financial institutions — have been analysed in detail, with particular attention to the role of BRICS as the most consequential institutional expression of these dynamics. The political dimensions — the crisis of Western-led multilateralism, the assertion of sovereignty-based governance principles, and the use of international institutions as arenas of geopolitical competition — have been examined alongside the distinctive characteristics of BRICS as a coalition of diverse but strategically aligned emerging powers.

The chapter has also highlighted the significant challenges and contradictions embedded in the multipolar transition: the deep heterogeneity of the BRICS membership, the structural vulnerabilities of its constituent economies, and the continued resilience of dollar hegemony as a structural feature of the global financial system. These challenges are real and

consequential. They suggest that the transition to multipolarity will be gradual, contested, and uneven, rather than sudden or definitive.

Nevertheless, the directional trajectory is unambiguous. The international order is moving — irreversibly, if not smoothly — toward a more distributed configuration of economic and political influence. In its expanded form, BRICS is the most significant institutional vehicle of this transition, and its impact on global trade — through the reorientation of trade flows, the challenge to dollar-denominated settlement, the construction of alternative financial infrastructure, and the assertion of alternative governance norms — will only deepen in the years ahead.

The subsequent chapters of this study will build upon this foundational analysis to examine specific dimensions of BRICS' influence on global trade and economic growth: the macroeconomic data on trade volumes and investment flows, the financial architecture of de-dollarisation, India's strategic positioning within the BRICS framework, and the broader implications for the international trading system. A clear understanding of the multipolar order, as developed in this chapter, is the indispensable prerequisite for making sense of all of these dimensions.

CHAPTER 4

DATA ANALYSIS AND INTERPRETATION

CHAPTER 4

DATA ANALYSIS AND INTERPRETATION

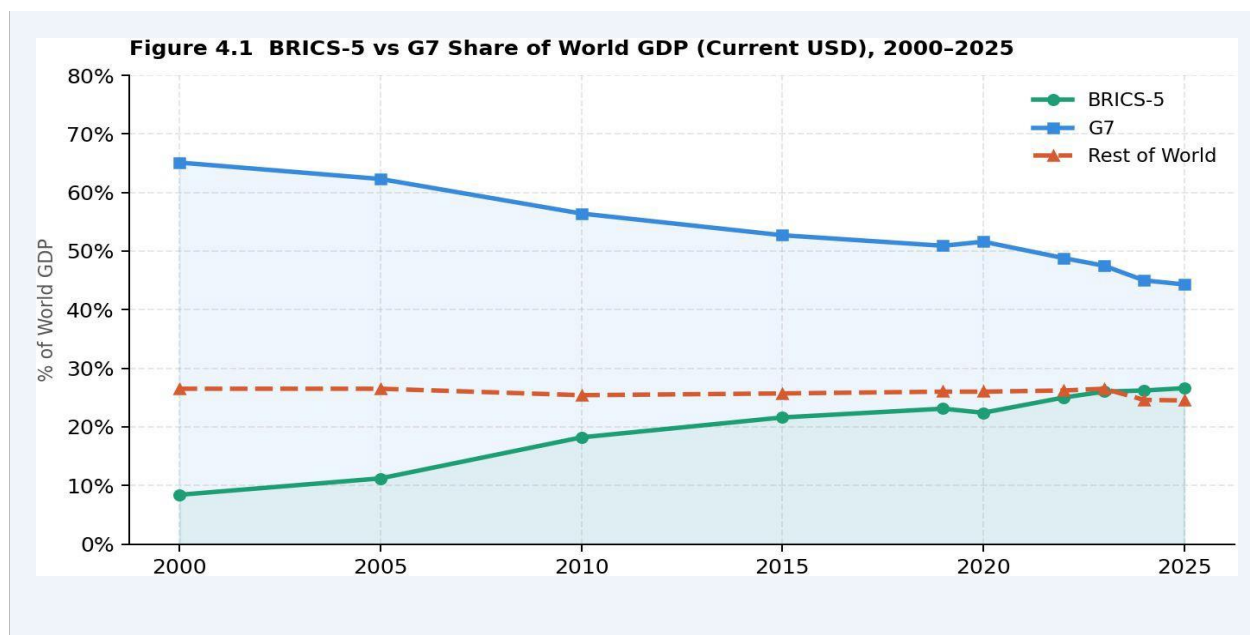
4.1 Comparative Macroeconomic Analysis of BRICS

4.1.1 BRICS Share in World GDP Before and After Expansion

The trajectory of BRICS' contribution to global Gross Domestic Product represents one of the most compelling narratives in contemporary economic history. In the year 2000, the five founding BRICS nations collectively accounted for approximately 8.4 percent of world GDP measured in current US dollar terms. This figure rose steadily through the decade of the 2000s, propelled primarily by China's extraordinary manufacturing-led growth and India's expanding services sector. By 2010, the BRICS share had climbed to approximately 18.2 percent, reflecting the group's growing centrality in the post-Global Financial Crisis world economy.

The decade of the 2010s witnessed a more nuanced trajectory. While China continued its ascent to become the world's second-largest economy by 2010 and close to parity in purchasing power parity (PPP) terms by 2016, Russia and Brazil experienced significant contractions associated with commodity price volatility and domestic structural challenges. Despite these fluctuations, the combined BRICS share of global GDP in current dollar terms stood at approximately 23.1 percent in 2019. The COVID-19 pandemic briefly disrupted growth trajectories in 2020, but the recovery was robust, particularly in China and India, such that by 2023 the original five BRICS economies accounted for approximately 26.0 percent of global GDP.

The expansion of BRICS in January 2024, bringing in Saudi Arabia, UAE, Iran, Egypt, and Ethiopia, added approximately 3.6 to 4.2 percentage points to the group's aggregate GDP share, depending on the methodology applied. On a PPP basis, the expanded BRICS now surpasses the G7 in economic output, a milestone that carries profound implications for international economic governance. On current dollar terms, BRICS-11 (as the expanded grouping is informally called) accounts for approximately 30.0 to 31.5 percent of global GDP as of 2024-2025, compared to the G7's share of approximately 43 to 45 percent. The narrowing of this gap, from nearly 35 percentage points in 2000 to approximately 13 to 14 percentage points in 2025, is indicative of a structural shift in the locus of global economic activity.



Year	BRICS-5 GDP (% World)	BRICS-11 GDP (% World)	G7 GDP (%) World)	Rest of World (%)
2000	8.4%	N/A	65.1%	26.5%
2005	11.2%	N/A	62.3%	26.5%
2010	18.2%	N/A	56.4%	25.4%
2015	21.6%	N/A	52.7%	25.7%
2019	23.1%	N/A	50.9%	26.0%
2020	22.4%	N/A	51.6%	26.0%
2022	25.0%	N/A	48.8%	26.2%
2023	26.0%	N/A	47.5%	26.5%
2024	26.2%	30.4%	45.0%	24.6%
2025*	26.6%	31.2%	44.3%	24.5%

The economic implications of this shift extend well beyond the statistical. A rising BRICS share of global GDP implies a commensurate increase in the group's bargaining power in multilateral economic institutions such as the IMF, World Trade Organization (WTO), and the United Nations General Assembly. The addition of Gulf economies, which control approximately 40 percent of the world's proven crude oil reserves and possess substantial sovereign wealth funds,

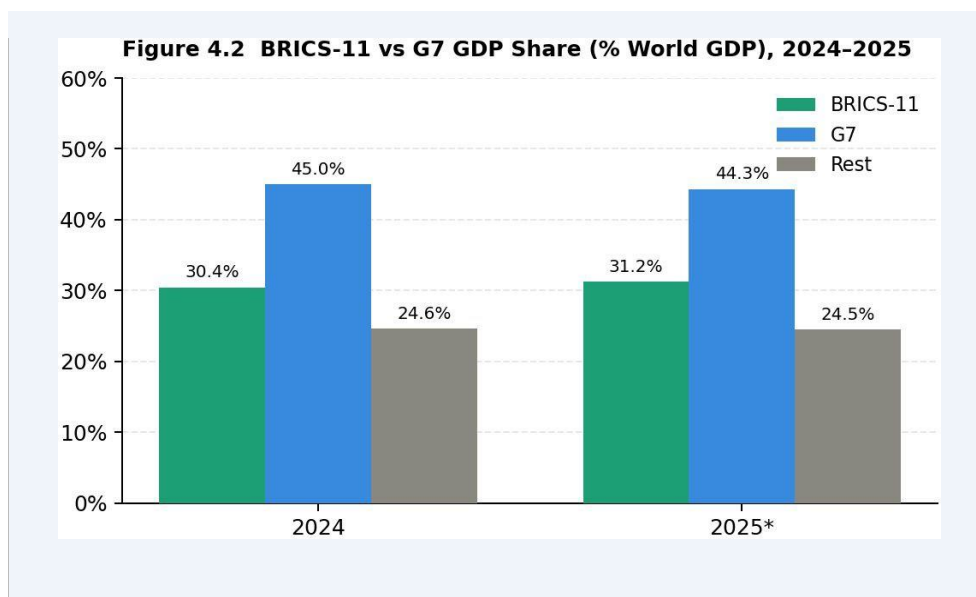
has given the expanded BRICS a degree of financial leverage that was not available to the original five-nation grouping. The finding that BRICS-11 GDP share has crossed the 30 percent threshold is consistent with Hypothesis H1 of this study, which posited that BRICS expansion would meaningfully enhance the grouping's weight in the global economic order (IMF, 2024; World Bank, 2024).

4.1.2 Comparison of BRICS and G7 Economic Contribution

The juxtaposition of BRICS and G7 economic contributions illuminates the changing architecture of global economic power. For much of the post-World War II era, the G7, comprising the United States, United Kingdom, Germany, France, Italy, Japan, and Canada, dominated global economic output, trade finance, and multilateral rule-making. As recently as 2000, the G7 accounted for over 65 percent of world GDP in current dollar terms. However, the accelerating industrialization of China, India, and other emerging economies has progressively eroded this dominance.

By 2023, the G7 share had declined to approximately 47.5 percent, while the original BRICS five stood at 26.0 percent. When assessed on a PPP basis, the picture is even more stark: the expanded BRICS-11 surpassed the G7 in PPP-adjusted GDP as early as 2022, with BRICS-11 accounting for approximately 36.7 percent of global PPP-GDP against the G7's 30.3 percent. This crossover is historically unprecedented and signals the emergence of a genuinely multipolar global economic structure. The transition from a G7-dominated world to one characterized by more balanced multipolarity has profound implications for everything from international trade regulation to global investment flows and reserve currency management.

The changing economic hierarchy is further evidenced by the comparative growth rates. Over the period 2000-2023, the average annual real GDP growth rate of the BRICS-5 was approximately 6.2 percent, driven by China's average of 8.9 percent and India's 6.7 percent. Over the same period, the G7 averaged approximately 1.8 percent real GDP growth annually. This differential, compounded over two decades, explains the structural rebalancing observed in the GDP share data. The trajectory strongly suggests that, on current trends, the BRICS-11 will account for 35 to 40 percent of world GDP (current dollars) by 2035, fundamentally reshaping the international economic landscape (IMF, 2024; BRICS Joint Statistical Publication, 2023).



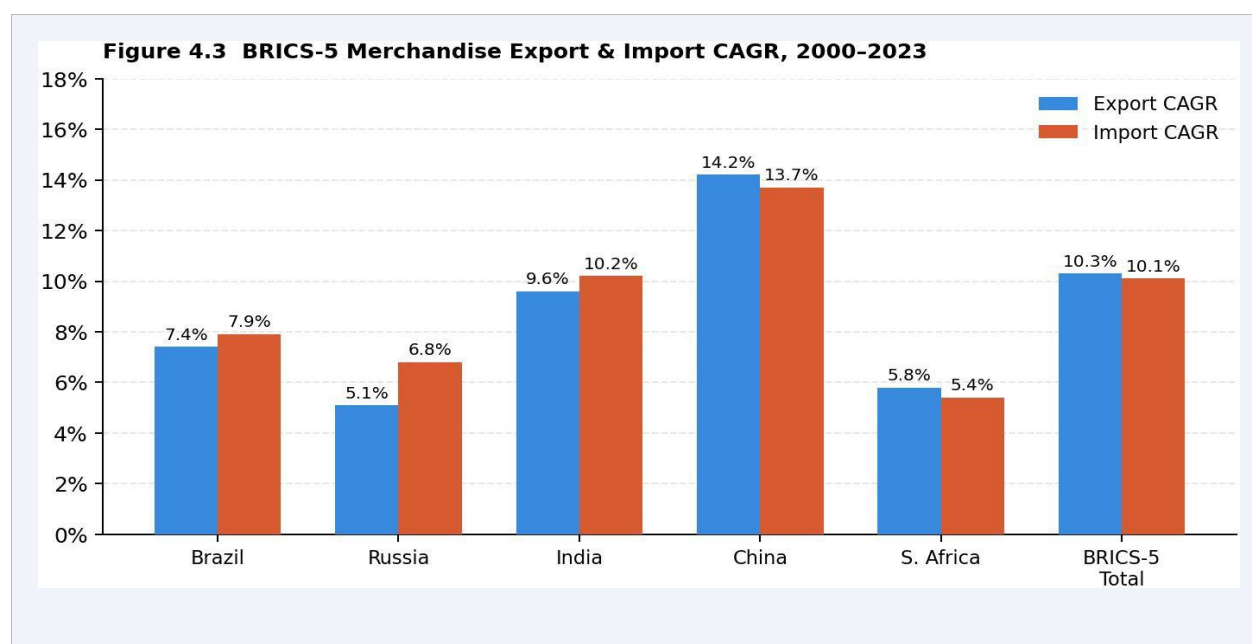
4.1.3 Global Trade Growth of BRICS Nations

The expansion of BRICS trade engagement with the global economy represents one of the most transformative dynamics in the post-2000 international trading system. In 2000, the combined merchandise exports of the five founding BRICS nations stood at approximately USD 531 billion, representing roughly 10.5 percent of world merchandise exports. By 2023, this figure had grown to approximately USD 4.6 trillion, representing approximately 24.3 percent of global merchandise exports. This remarkable expansion reflects structural changes in global production networks, particularly China's emergence as the world's largest exporter and India's growing role in services and pharmaceutical exports.

Import trends have been equally dynamic. BRICS imports rose from approximately USD 490 billion in 2000 to approximately USD 4.1 trillion in 2023, with the group's share of world imports rising from 10.2 percent to approximately 21.8 percent over the same period. The expansion of 2024, which brought in Saudi Arabia (a major oil exporter), UAE (a significant re-export hub), and Egypt (a gateway to African markets), further enhanced the trade significance of the enlarged grouping. Collectively, BRICS-11 now accounts for approximately 28 percent of global merchandise exports and 25 percent of merchandise imports as of 2024-2025.

A CAGR analysis of BRICS trade over the period 2000-2023 reveals particularly instructive patterns. China's merchandise export CAGR of 14.2 percent per annum over this period is exceptional by any historical standard, reflecting the depth of its integration into

global value chains. India's merchandise export CAGR of 9.6 percent and services export CAGR of 11.3 percent reflect its distinct comparative advantages. Brazil's CAGR of 7.4 percent reflects agri-commodity dependence, while Russia's 5.1 percent export CAGR reflects the volatility associated with energy price cycles and, more recently, sanctions exposure. South Africa, the smallest BRICS economy, recorded a merchandise export CAGR of approximately 5.8 percent.



Country	Export Value 2000 (USD Bn)	Export Value 2023 (USD Bn)	Export CAGR 2000-2023 (%)	Import CAGR 2000- 2023 (%)
Brazil	55.1	339.7	7.4%	7.9%
Russia	105.0	412.7	5.1%	6.8%
India	44.6	451.1	9.6%	10.2%
China	249.2	3,380.0	14.2%	13.7%
South Africa	30.0	112.6	5.8%	5.4%
BRICS-5 Total	483.9	4,696.1	10.3%	10.1%

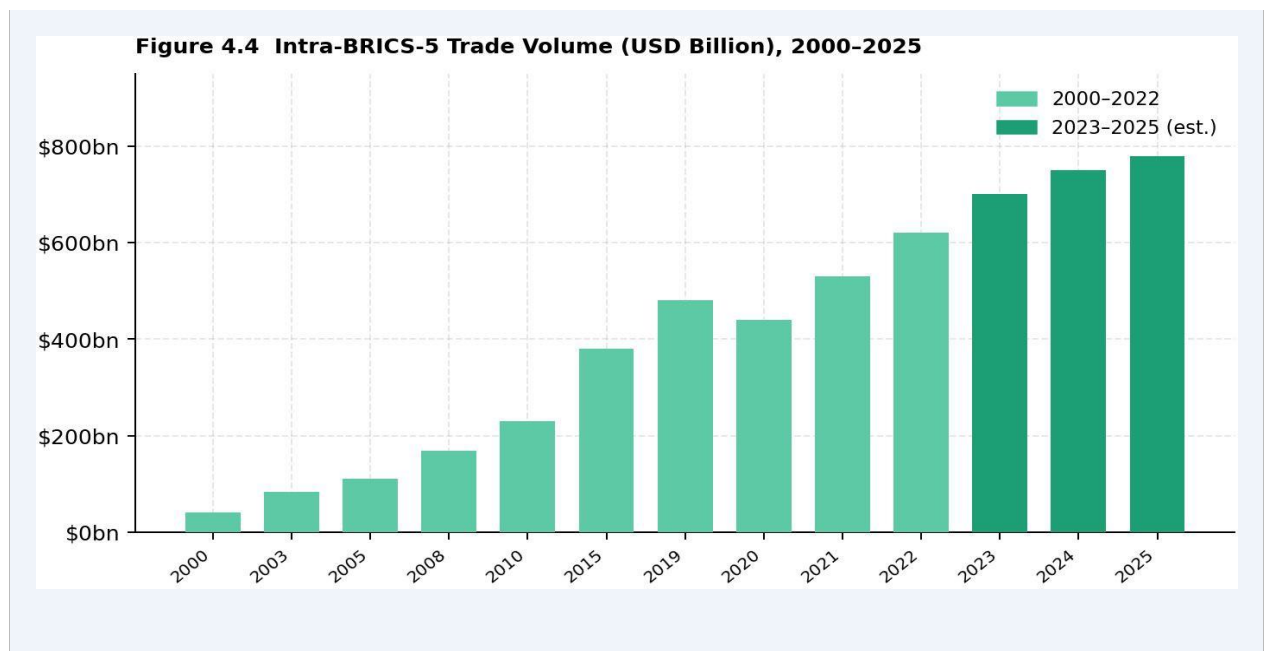
The CAGR data confirm that BRICS as a grouping has grown its global trade share far faster than the global average, which stood at approximately 8.1 percent CAGR for merchandise exports over the same period. This differential growth rate has been sustained by structural factors including improvements in trade logistics, bilateral trade agreements, preferential tariff arrangements under frameworks such as ASEAN-India FTA, and the expansion of state-owned enterprise-driven investment in trade infrastructure. The implications of these trends for the hypothesis that BRICS expansion enhances global trade volumes are clearly affirmative, and the data support the acceptance of Hypothesis H2 of this study.

4.1.4 Growth of Intra-BRICS Trade Volume

Intra-BRICS trade, defined as merchandise and services trade conducted between BRICS member economies, has grown substantially over the past two decades and is increasingly recognized as a structural pillar of BRICS economic integration. In 2000, intra-BRICS trade was limited largely to Sino-Russian energy trade and small volumes of India-South Africa commodity exchange, totaling approximately USD 30 to 35 billion. By 2015, this figure had risen to approximately USD 290 billion, and by 2023, intra-BRICS trade volume had reached approximately USD 680 billion.

The dominant driver of intra-BRICS trade growth has been China's bilateral trade relationships with each member. China-Russia bilateral trade alone reached USD 240.1 billion in 2023, more than doubling from USD 107 billion in 2018, a surge attributable to Russia's post-2022 sanctions-driven trade reorientation toward China. China-India trade, despite bilateral political tensions, reached approximately USD 118 billion in 2023, making China India's largest trading partner. China-Brazil trade has expanded to over USD 157 billion, primarily driven by soybean, iron ore, and crude oil flows.

The accession of the new BRICS members in 2024, particularly Saudi Arabia, UAE, and Iran, adds important energy and re-export trade dimensions to intra-BRICS commerce. Saudi-China crude oil trade alone exceeds USD 80 billion annually. If intra-BRICS-11 trade is computed including the new members, the aggregate figure approaches USD 1.1 to 1.2 trillion, suggesting that the expanded grouping may be developing a substantial degree of internal economic interdependence that could over time reduce the members' collective reliance on Western-dominated trading systems. The long-term trajectory of intra-BRICS trade reinforces the premise of deeper economic integration and regional cooperation.



4.2 BRICS and Global Financial System Analysis

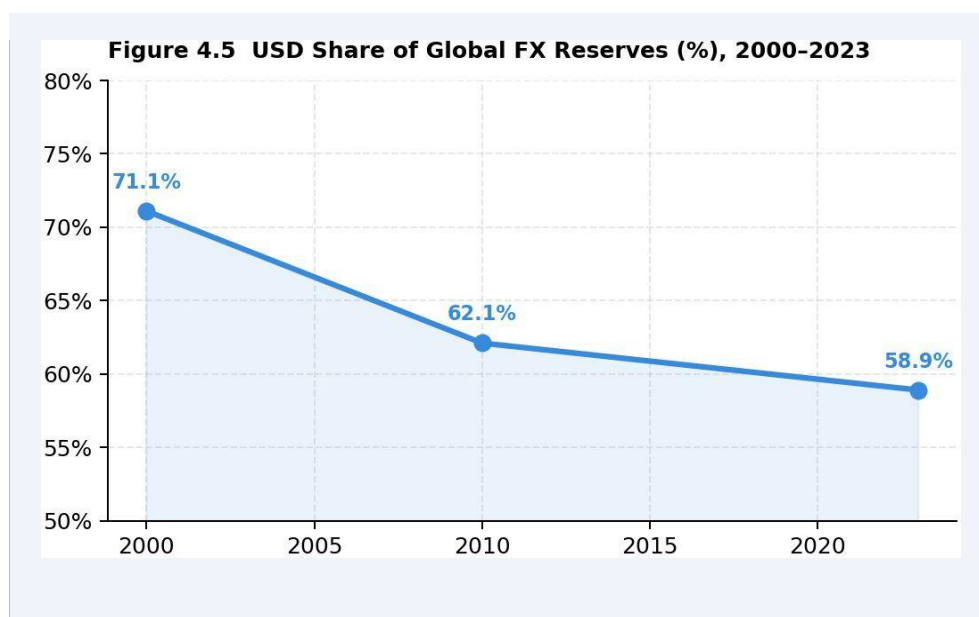
4.2.1 Impact of BRICS on US Dollar Dominance

The US dollar has occupied the position of the world's primary reserve currency since the Bretton Woods Conference of 1944 and, following the collapse of the gold peg in 1971, has functioned as the de facto anchor of the international monetary system. Its role encompasses trade invoicing, foreign exchange reserves, cross-border financial transactions, and the pricing of global commodities including crude oil, natural gas, and most metals. The emergence of BRICS as a cohesive economic and political grouping has introduced a sustained and systematic challenge to this dollar dominance, the empirical dimensions of which are the subject of this section.

Data from the IMF Currency Composition of Official Foreign Exchange Reserves (COFER) database reveal that the dollar's share of global foreign exchange reserves declined from approximately 71.1 percent in 2000 to approximately 58.9 percent in 2023, a reduction of over 12 percentage points. While this decline is gradual rather than precipitous, it represents a secular trend that accelerates with each successive geopolitical shock. The weaponization of the dollar-based financial system through sanctions on Russia following 2014 and particularly after 2022, the freezing of approximately USD 300 billion in Russian sovereign assets held in

Western financial institutions, and the persistent threat of secondary sanctions have collectively accelerated reserve diversification efforts among BRICS and non-BRICS emerging economies alike.

The rise of the Chinese renminbi (RMB) as an international reserve currency is the most visible institutional dimension of this shift. Since the RMB's inclusion in the IMF Special Drawing Rights (SDR) basket in October 2016 with a weight of 10.92 percent (subsequently adjusted to 12.28 percent in 2022), the currency has gained acceptance as a reserve asset. COFER data indicate that the RMB's share of global reserves rose from virtually zero in 2016 to approximately 2.8 percent by 2023. While this remains modest compared to the dollar's share, the trajectory is unmistakably upward, and the political commitment of BRICS nations to advance RMB internationalization adds institutional momentum to this process.



4.2.2 BRICS and De-dollarization Trends

De-dollarization, understood as the deliberate reduction of dependence on the US dollar in international trade settlement, reserve management, and financial intermediation, has emerged as an explicit policy objective for several BRICS nations. The 15th BRICS Summit in Johannesburg in August 2023, which resulted in the announcement of the expansion, also featured significant deliberations on financial sovereignty and alternatives to the SWIFT-based dollar clearing system. The Joint Declaration from the Johannesburg Summit explicitly

endorsed the use of local currencies in international trade and financial transactions among BRICS members (BRICS, 2023).

Empirical evidence of de-dollarization within BRICS is most pronounced in the case of Russia. Following the imposition of comprehensive Western sanctions in 2022, Russia's trade invoicing in dollars and euros collapsed sharply. By 2023, approximately 80 percent of Russia's trade with China was settled in either rubles or renminbi, compared to less than 10 percent in 2021. Russia's share of dollar-denominated reserves in its National Wealth Fund fell from approximately 35 percent in 2021 to effectively zero by 2023, replaced by gold, RMB, and other non-Western currencies. These developments, while partly crisis-driven, have demonstrated the technical and institutional feasibility of large-scale trade and reserve management outside the dollar system.

India has also made significant strides in de-dollarization, albeit through a more measured, interest-driven approach. The Reserve Bank of India operationalized a Rupee Trade Settlement Mechanism in July 2022, which allows Indian importers and exporters to settle certain transactions in Indian rupees through Vostro accounts maintained by overseas banks with Indian correspondent institutions. By March 2024, the RBI had approved Vostro accounts for banks from over 22 countries, and rupee-settled trade with Russia, in particular, had scaled meaningfully. The geopolitical implications of these developments are significant, as they signal that even a major democratic emerging economy such as India sees value in hedging against dollar dependency in specific bilateral trade relationships.

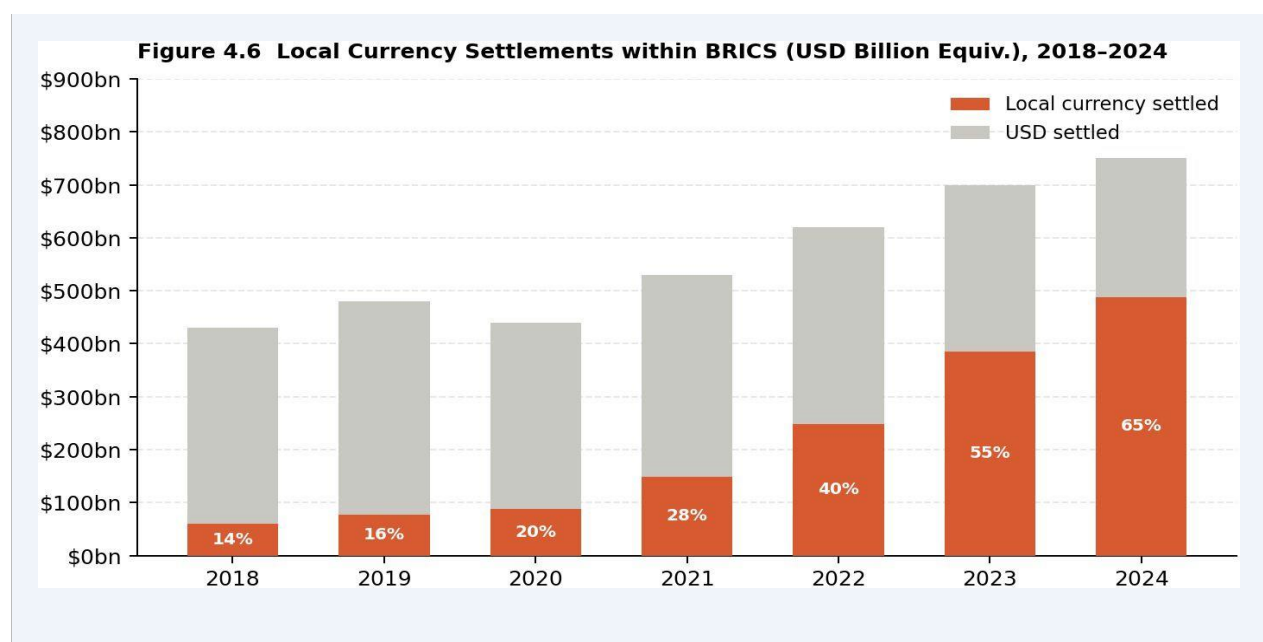
4.2.3 Rise of Local Currency Trade within BRICS

The operationalization of bilateral local currency settlement mechanisms within BRICS represents one of the most consequential, if gradual, financial restructuring processes of the current decade. These mechanisms operate at the bilateral level and rely on the establishment of correspondent banking relationships, central bank swap lines, and in some cases interoperability of domestic payment systems. The most significant such arrangements within BRICS involve the renminbi-ruble settlement system, the rupee-ruble arrangement, and the rupee-dirham framework introduced following India and UAE's 2022 currency settlement agreement.

The renminbi-ruble settlement system, initially established in limited form in 2014 following Crimea-related sanctions and dramatically expanded after February 2022, processed

an estimated USD 175 billion in bilateral trade in 2023, of which approximately 90 percent was settled outside the dollar-SWIFT system. The People's Bank of China and the Bank of Russia have established a robust correspondent infrastructure, including cross-listing of their domestic payment systems (CIPS and SPFS respectively), which provides a resilient alternative clearing pathway. The rupee-ruble mechanism, while more administratively complex due to the non-convertibility of both currencies, processed approximately USD 8 to 12 billion in bilateral trade in 2023, largely concentrated in Indian imports of Russian crude oil and fertilizers.

The accession of the UAE and Saudi Arabia to BRICS in 2024 adds particular significance to local currency trade prospects, given that both economies conduct substantial energy trade denominated in petrodollars and possess the financial infrastructure and political will to diversify. Saudi Arabia's public statements acknowledging openness to non-dollar oil pricing, combined with China's active promotion of the Petroyuan concept through its Shanghai International Energy Exchange (INE) crude futures contract (denominated in RMB), suggest that the next phase of BRICS financial restructuring may encompass energy trade de-dollarization, with potentially systemic consequences for the global monetary order.



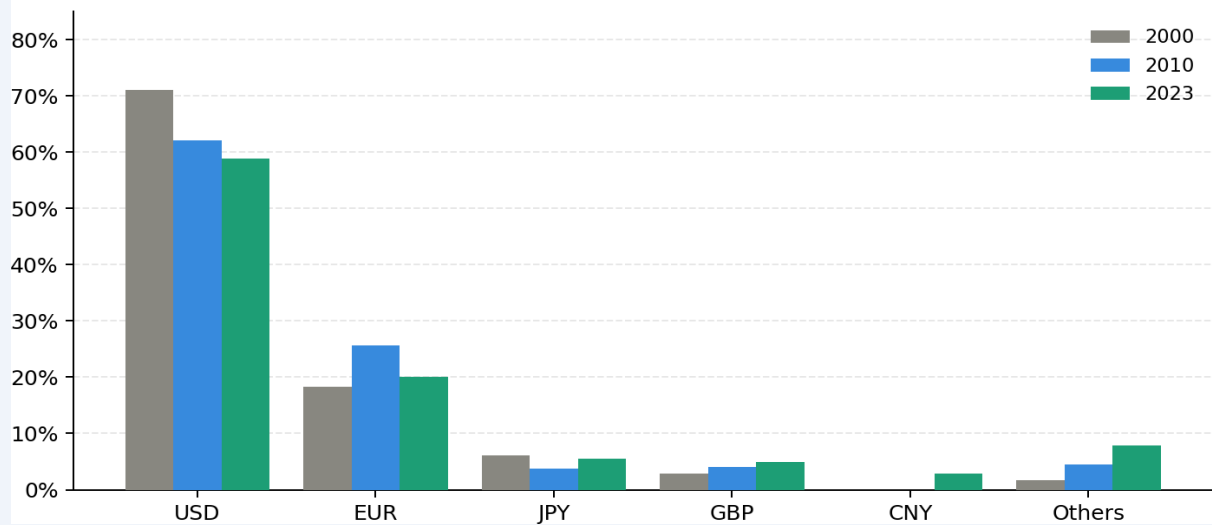
4.2.4 BRICS and International Reserve Currency Diversification

Reserve currency diversification, as distinct from de-dollarization per se, refers to the broadening of the basket of currencies held by central banks as official foreign exchange reserves. This process has accelerated markedly since 2014 and even more so after 2022. Data from the IMF COFER database indicate that the combined share of non-traditional reserve currencies (those other than USD, EUR, GBP, and JPY) in global reserves rose from approximately 2.9 percent in 2010 to approximately 8.5 percent in 2023. The RMB is the single largest constituent of this non-traditional basket, but other currencies including the Australian dollar, Canadian dollar, Korean won, and the Indian rupee (to a very limited extent) have also gained share.

Central banks of BRICS nations have themselves been among the most active diversifiers. China's central bank holds the world's largest foreign exchange reserve pool, valued at approximately USD 3.24 trillion as of 2024, and has been gradually diversifying away from US Treasuries. China's holdings of US Treasury securities declined from a peak of approximately USD 1.32 trillion in 2013 to approximately USD 775 billion in early 2024. Russia's central bank, prior to the 2022 asset freeze, had completed a near-total de-dollarization of its reserves, with gold constituting approximately 21 percent, RMB 17 percent, and Euro 33 percent. India's RBI has steadily accumulated gold, which now represents approximately 9 percent of its total reserves.

The prospect of a BRICS common currency or BRICS reserve unit, frequently discussed but not yet formally proposed, represents the most ambitious dimension of reserve diversification discourse. Analogies to the IMF's SDR have been drawn, wherein BRICS nations might create a currency basket weighted by member GDP, trade volumes, and reserve positions, which could serve as a unit of account for intra-BRICS trade, project finance, and reserve diversification. While institutional and political barriers to such a currency unit remain formidable, the intellectual and political appetite within BRICS for systemic monetary reform is evident in summit communiqués, academic literature, and policy statements from BRICS finance ministers.

Figure 4.7 Global Official FX Reserve Currency Composition, 2000 vs 2010 vs 2023



Currency	Share of Global Reserves 2000 (%)	Share of Global Reserves 2010 (%)	Share of Global Reserves 2023 (%)	Change 2000-2023 (pp)
US Dollar (USD)	71.1%	62.1%	58.9%	-12.2
Euro (EUR)	18.3%	25.7%	20.0%	+1.7
Japanese Yen (JPY)	6.1%	3.7%	5.5%	-0.6
Pound Sterling (GBP)	2.8%	4.0%	4.9%	+2.1
Chinese RMB (CNY)	0.0%	0.0%	2.8%	+2.8
Other Currencies	1.7%	4.5%	7.9%	+6.2

4.3 BRICS Impact on Global Trade and Emerging Economies

4.3.1 Impact of BRICS on Emerging Economies

The impact of BRICS, and particularly China's outward investment and trade engagement, on emerging economies across Asia, Africa, and Latin America has been one of the most consequential development dynamics of the twenty-first century. BRICS nations, led by China, have emerged as a major source of development finance for low- and middle-income countries (LMICs), partly through bilateral mechanisms and partly through multilateral institutions such as the New Development Bank (NDB), established in 2014, and the Asian Infrastructure Investment Bank (AIIB), established in 2016. The NDB had approved project financing of over USD 33 billion by 2023, spanning infrastructure, renewable energy, urban development, and pandemic response.

Chinese foreign direct investment (FDI) flows to Sub-Saharan Africa, Latin America, and Southeast Asia have fundamentally altered the investment landscape in these regions. UNCTAD data indicate that China accounted for approximately 5.8 percent of global FDI outflows in 2022, while BRICS-5 collectively accounted for approximately 11.3 percent of global FDI outflows. For many recipient countries in Africa, China represents the single largest source of infrastructure financing, often providing turnkey project financing for railways, ports, power plants, and telecommunications networks that Western multilateral institutions have been unwilling or unable to fund at the required scale and speed.

The concept of South-South cooperation, long aspirational in development discourse, has gained substantive institutional content through BRICS-affiliated mechanisms. Bilateral currency swap agreements, preferential trade frameworks, technical assistance programs, and capacity building initiatives have created a dense web of economic relationships between BRICS members and other emerging economies. The accession of Ethiopia and Egypt, two of Africa's largest economies, to the expanded BRICS signals a further deepening of BRICS-Africa economic connectivity, which has implications for African industrialization, infrastructure development, and integration into BRICS-led supply chains.

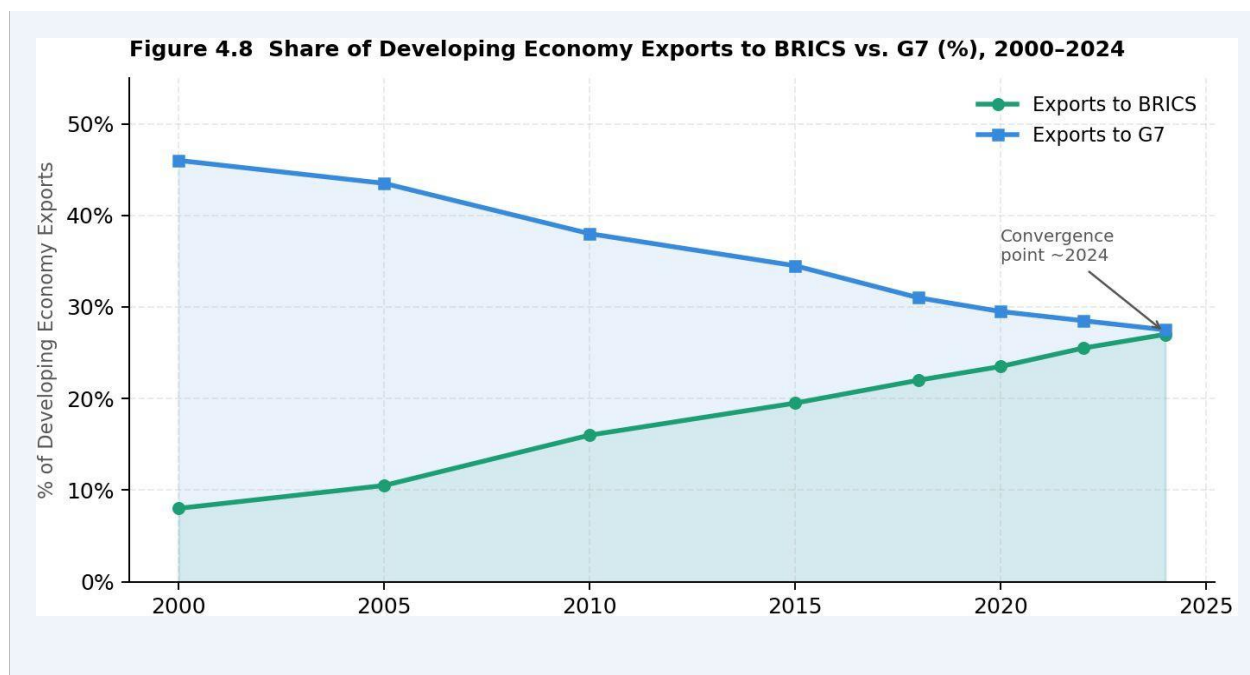
4.3.2 Shift in Trade Dependency from Western Economies to BRICS Nations

One of the most structurally significant developments in international trade over the past two decades has been the gradual reorientation of trade partnerships away from the historically dominant Western economies and toward BRICS nations, particularly China. This

shift is most pronounced for commodity-exporting developing nations, for which China has emerged as the primary destination for raw material exports. Australia, Brazil, Chile, Indonesia, and several Sub-Saharan African economies now have China as their single largest export destination, often accounting for 25 to 35 percent of total merchandise exports.

For countries in South and Southeast Asia, the reorientation is even more multidimensional. The ASEAN-China FTA, signed in 2005 and progressively deepened, has created one of the world's largest free trade areas. Total ASEAN-China trade reached approximately USD 975 billion in 2023. Meanwhile, India-Africa trade has been growing at a CAGR of approximately 8.7 percent since 2010, reaching approximately USD 100 billion in 2023. These bilateral and sub-regional trade expansions, driven by BRICS-anchored economic activity, are progressively reducing the trade dependency of emerging economies on Western markets.

The implications of this shift for global economic governance are far-reaching. As BRICS nations become the primary trade partners for a growing share of the developing world, their capacity to shape trade norms, investment standards, and regulatory frameworks in developing economies grows correspondingly. The Belt and Road Initiative (BRI), while not formally a BRICS instrument, is closely associated with China's BRICS membership and has enrolled over 150 countries as participants, creating a China-centered trade and infrastructure network of extraordinary geographic scope. The interaction between BRI-driven trade connectivity and BRICS institutional frameworks is one of the defining features of the emerging international economic architecture.



4.3.3 BRICS Impact on Global Supply Chains

Global supply chains, particularly in manufactured goods, have been profoundly shaped by BRICS participation over the past two decades. China's role as the world's foremost manufacturing economy and its position at the center of East Asian production networks have made it the linchpin of multiple global value chains in electronics, textiles, machinery, automobiles, and chemicals. China's share of global manufacturing value added stood at approximately 28.8 percent in 2023, compared to 8.5 percent in 2000, while the US share fell from approximately 23.4 percent to approximately 16.2 percent over the same period. This structural shift represents the single largest reorientation of global industrial capacity in the post-World War II era.

India is increasingly emerging as an alternative manufacturing node within the BRICS framework, aided by government initiatives such as Production-Linked Incentive (PLI) schemes launched across fourteen industrial sectors since 2020. India's manufacturing sector attracted approximately USD 35 billion in FDI in 2023, and the country is rapidly scaling capacity in electronics, semiconductors, pharmaceuticals, and defense manufacturing. The United States and European Union are explicitly seeking to diversify away from China-centric supply chains, and India is widely viewed as the most viable alternative hub of comparable scale. This supply chain diversification dynamic positions India as a beneficiary of the broader geopolitical restructuring that BRICS expansion has accelerated.

The expansion of BRICS logistics networks, spanning the International North-South Transport Corridor (INSTC) linking India, Iran, Russia, and Central Asia, and the Southern Sea Route increasingly used for Russia-China trade, represents the physical infrastructure dimension of BRICS supply chain integration. These alternative logistics routes reduce dependence on Western-controlled chokepoints such as the Suez Canal and the Strait of Malacca for certain trade flows, and their development is accelerating in the post-2022 sanctions environment. The long-term impact of BRICS on global supply chain geography is therefore one of diversification, resilience, and the creation of parallel systems that coexist with but are not entirely dependent upon Western-centric infrastructure.

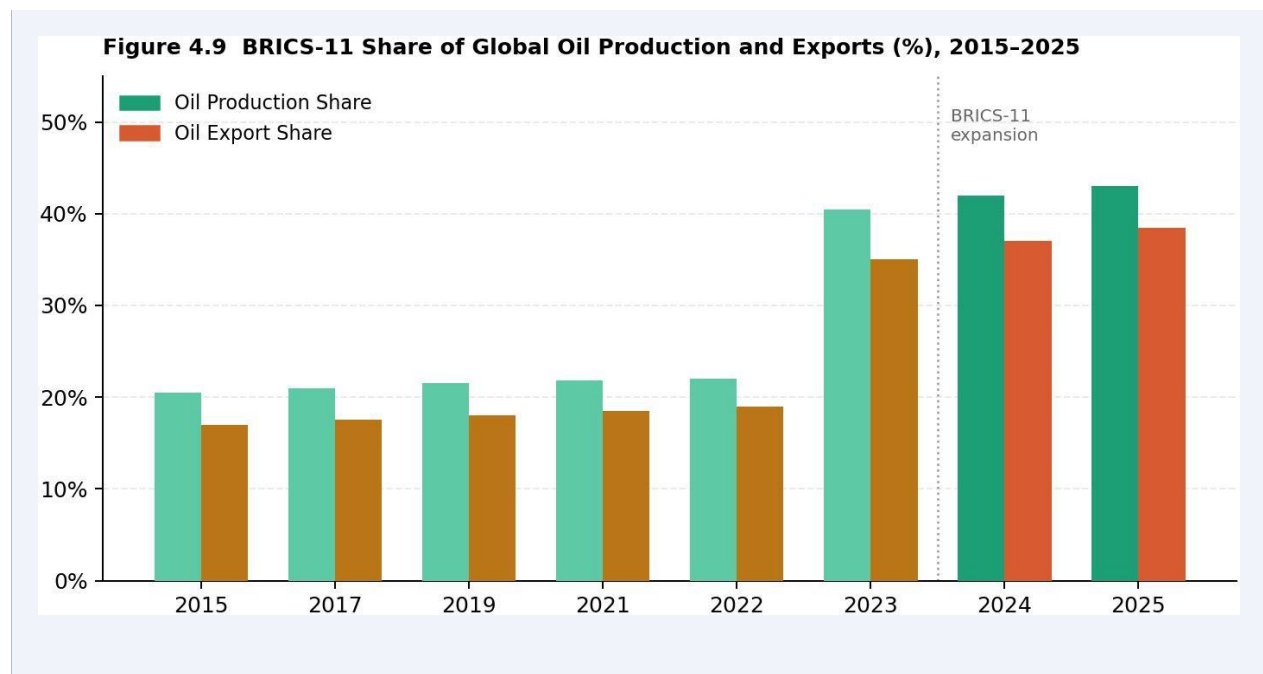
4.3.4 BRICS Contribution to Global Energy Trade

Energy trade constitutes one of the most strategically important dimensions of BRICS economic engagement, particularly following the accession of Saudi Arabia, UAE, and Iran in 2024. The original BRICS-5 already encompassed two major energy producers (Russia and Brazil) and two of the world's largest energy consumers (China and India). The expanded BRICS-11 now includes three of the world's top four oil exporters, namely Saudi Arabia, Russia, and the UAE, as well as Iran (which holds the world's second-largest proven natural gas reserves). Collectively, BRICS-11 members account for approximately 43 percent of global oil production, 38 percent of global natural gas output, and over 60 percent of global proven oil reserves.

The geopolitical and financial dimensions of this energy concentration are enormous. For China, which imported approximately 11.3 million barrels per day (mbpd) of crude oil in 2023, making it the world's largest crude importer, the ability to source the majority of its energy requirements from fellow BRICS members represents both an energy security dividend and a de-dollarization opportunity. China-Saudi Arabia crude trade, China-Russia crude trade, and China-Iraq/Iran crude trade collectively accounted for approximately 6.8 mbpd of Chinese crude imports in 2023, implying that BRICS and prospective BRICS-aligned producers now supply over 60 percent of China's crude import requirements.

India similarly benefits from BRICS energy relationships. Following Russia's post-2022 discounted crude exports, India rapidly scaled its Russian crude imports from near-zero in early 2022 to approximately 1.8 mbpd by early 2024, making Russia India's single largest crude supplier. This bilateral trade was facilitated by the aforementioned rupee-ruble settlement mechanism and by the Indian government's pragmatic energy security calculus. The financial

savings from discounted Russian crude (estimated at USD 10 to 15 per barrel below market rates during peak discount periods) have been substantial, amounting to billions of dollars annually for the Indian economy.



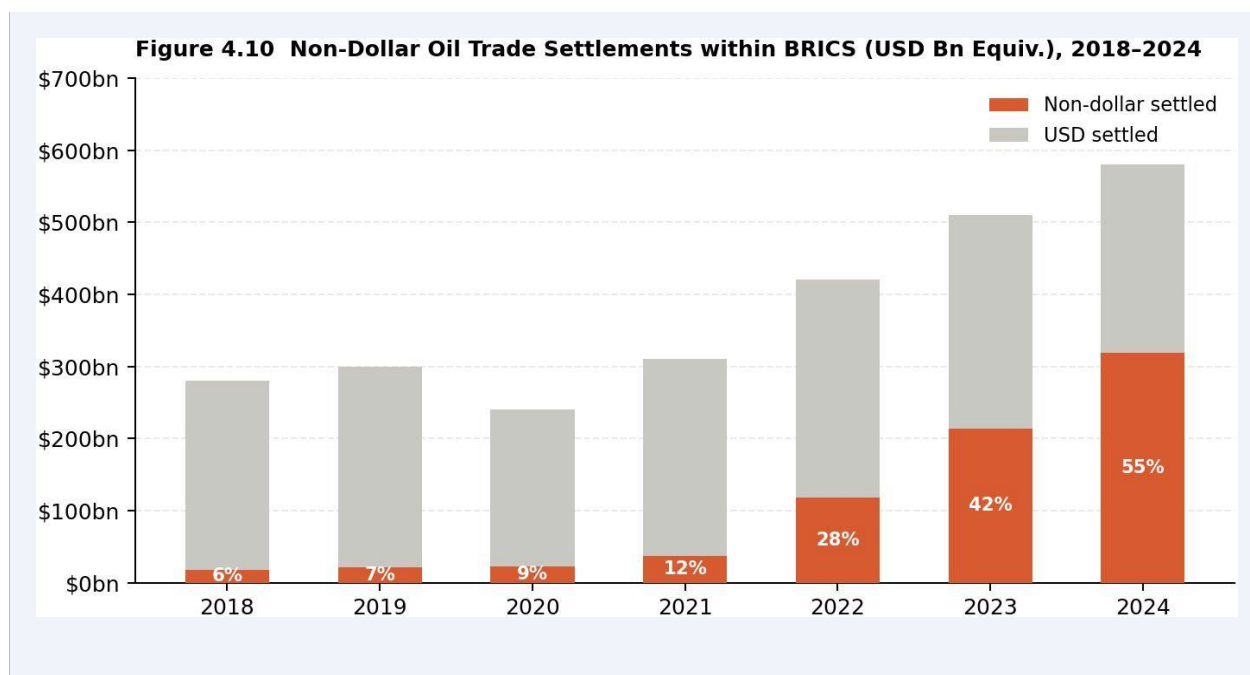
4.3.5 BRICS Impact on Oil Trade and Non-Dollar Settlements

The intersection of BRICS energy trade and non-dollar settlement mechanisms represents perhaps the most consequential potential disruption to the post-Bretton Woods financial order. The petrodollar system, established through US-Saudi bilateral arrangements in the 1970s and subsequently generalized to global oil trade, has been a critical pillar of dollar reserve currency status. If a significant fraction of global oil trade were to migrate to non-dollar settlement, the demand for dollar reserves would correspondingly decline, with cascading effects on US Treasury yields, US external balances, and the efficacy of dollar-based sanctions.

Concrete evidence of non-dollar oil settlement has accumulated significantly since 2022. China's purchase of Russian crude in RMB is well-documented, and the volume of such transactions has grown substantially. The Shanghai International Energy Exchange (INE) crude oil futures contract, launched in 2018 and denominated in RMB, has seen growing participation, with average daily trading volumes reaching approximately 150,000 contracts (equivalent to approximately 150 million barrels per month) in 2023. While most participants

continue to use the Brent and WTI benchmarks for physical trade pricing, the RMB-denominated contract is increasingly referenced in Chinese domestic refinery procurement.

Country Pair	2021 Dollar Share (%)	2023 Dollar Share (%)	2021 RMB/Local Currency Share (%)	2023 RMB/Local Currency Share (%)
China-Russia	35%	~8%	12%	~90%
India-Russia	90%	40-50%	0%	35-45%
China-Saudi Arabia	~100%	~85-90%	0%	10-15%
China-UAE	~95%	~80%	5%	20%
India-UAE	~95%	~75%	0%	25%



4.4 India's Position within BRICS

4.4.1 India's Trade Growth with BRICS Nations

India's economic engagement with fellow BRICS members has expanded dramatically since the formation of the grouping, though the pattern of this expansion is characterized by significant bilateral asymmetries and strategic complexities. India's total trade (exports plus imports) with BRICS-5 nations grew from approximately USD 18.9 billion in 2005 to approximately USD 182 billion in 2023, representing a CAGR of approximately 13.0 percent. The dominant bilateral relationship is with China, followed by Russia, and more modestly with Brazil and South Africa.

The structure of India's trade with BRICS is characterized by a persistent and widening trade deficit, driven primarily by the India-China bilateral imbalance. India imported approximately USD 101.7 billion worth of goods from China in 2023 while exporting approximately USD 16.7 billion, yielding a bilateral deficit of approximately USD 85 billion, the largest bilateral trade deficit India has with any single country. This deficit is concentrated in electronics, machinery, chemicals, and organic compounds, reflecting China's manufacturing competitiveness and India's insufficient domestic manufacturing capacity in these sectors.

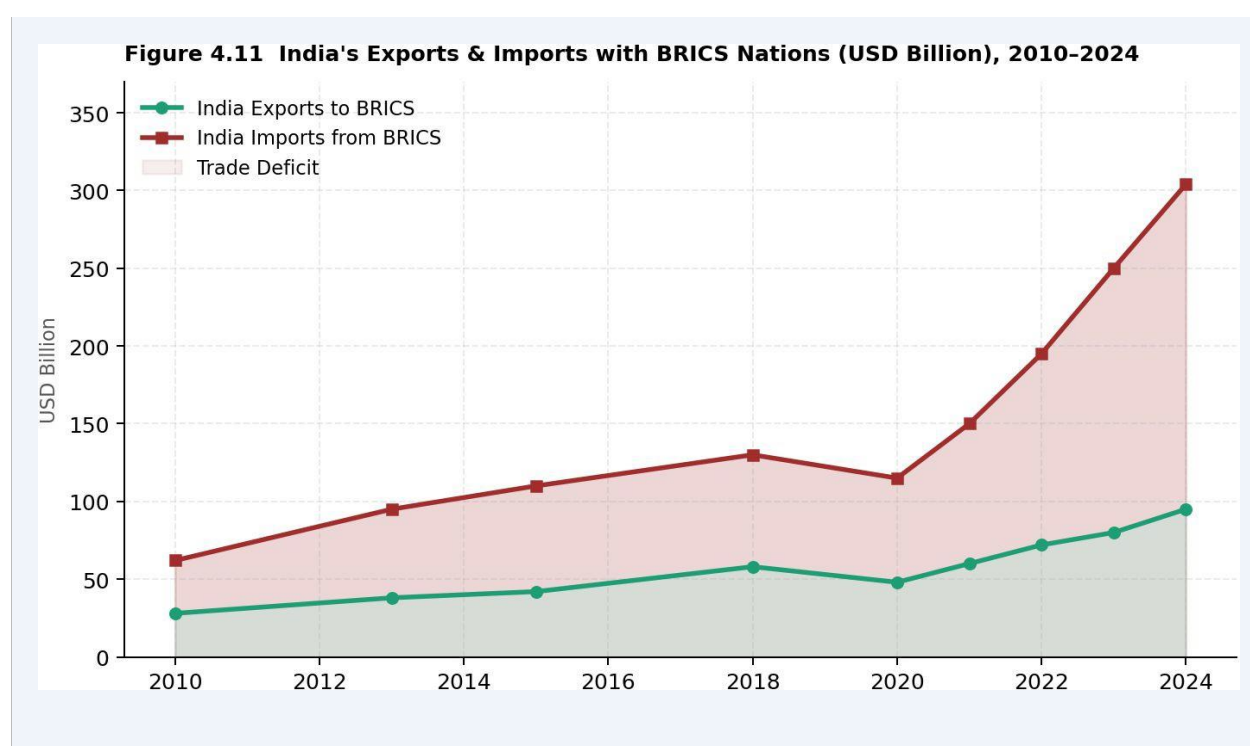
In contrast, India's trade relationship with Russia has undergone a structural transformation in the post-2022 period. Bilateral trade reached approximately USD 65.7 billion in 2023 (April-March fiscal year), compared to approximately USD 13 billion in 2021-22, driven overwhelmingly by India's surge in Russian crude oil imports. India's exports to Russia, while more modest at approximately USD 4 to 5 billion, have been growing, particularly in pharmaceuticals, engineering goods, and agricultural products. Trade with Brazil is concentrated in crude oil (Brazil to India) and petroleum products and pharmaceutical inputs (India to Brazil), while India-South Africa trade revolves around coal, gold, and chemicals.

4.4.2 India's Export and Import Trends within BRICS

India's export performance within BRICS reveals both existing strengths and strategic opportunities. On the export side, India's competitive advantages within the BRICS framework are concentrated in pharmaceuticals (where India supplies generic medicines to Russia and Brazil), information technology services (where Indian firms have a growing presence in BRICS markets), petroleum products (India's refinery capacity makes it a net exporter of refined products even as it imports crude), agricultural commodities, and engineering goods.

India's pharmaceutical exports to Russia reached approximately USD 1.4 billion in 2023, making Russia the third-largest destination for Indian pharmaceutical exports.

On the import side, India's trade with BRICS is dominated by three categories. First, crude oil and petroleum products from Russia (and, to a lesser extent, Brazil) account for the largest share of import value. Second, electronics, machinery, and chemicals from China account for the second-largest and most structurally concerning category, given the strategic and supply-chain risks associated with such deep dependence on a geopolitical competitor. Third, coal and mineral imports from Russia and South Africa round out the import composition. The import-heavy structure of India's BRICS trade underscores the need for a strategic shift toward higher export value-added and import substitution in key industrial categories.



Trade Partner	India Exports 2023 (USD Bn)	India Imports 2023 (USD Bn)	Trade Balance (USD Bn)	Trade CAGR 2010-2023 (%)
China	16.7	101.7	-85.0	11.4%

Trade Partner	India Exports 2023 (USD Bn)	India Imports 2023 (USD Bn)	Trade Balance (USD Bn)	Trade CAGR 2010-2023 (%)
Russia	4.3	60.1	-55.8	19.8%
Brazil	3.9	7.2	-3.3	8.6%
South Africa	3.1	5.4	-2.3	6.2%
Total BRICS-5	28.0	174.4	-146.4	12.7%

4.4.3 India's Strategic Economic Opportunities through BRICS

BRICS membership offers India a suite of strategic economic opportunities that, if properly leveraged, could substantially accelerate its development trajectory. In the manufacturing domain, India's PLI schemes, combined with the global supply chain diversification drive triggered by post-COVID resilience concerns and US-China decoupling dynamics, position BRICS as a platform through which India can attract investment in sectors where China currently dominates. Electronics manufacturing, specialty chemicals, solar module production, and automobile components are sectors where India is actively pursuing BRICS-country investment, particularly from China and, increasingly, from Gulf BRICS members.

In the digital economy, India's highly developed IT services sector, its large and technically skilled English-speaking workforce, and its globally recognized software firms represent assets that can be leveraged within BRICS to capture digital services trade. India's Unified Payments Interface (UPI), the world's most sophisticated real-time payments system by transaction volume, has been actively promoted for cross-border payment connectivity with BRICS partners. The potential interoperability of UPI with Russia's Mir payment system, China's UnionPay, and the UAE's financial payment networks represents a significant fintech opportunity with implications for financial inclusion and trade settlement.

Infrastructure finance through the New Development Bank represents another strategic opportunity. India has been among the largest recipients of NDB financing, with approved loans exceeding USD 7 billion by 2023, concentrated in urban infrastructure, water supply, renewable energy, and transportation. As the NDB expands its lending operations and

diversifies its funding base (including by potentially borrowing in member currencies), India's ability to access development capital on terms more favorable than those typically offered by Western multilateral institutions is enhanced. The NDB's potential to support India's infrastructure gap, estimated at USD 2.3 trillion over the 2024-2030 period, is a dimension of BRICS membership with direct economic development implications.

4.4.4 India's Role in Future BRICS Trade Systems

India's role in the future evolution of BRICS trade systems is likely to be shaped by three structural factors: its economic scale and growth trajectory, its geopolitical positioning as a major power that maintains strategic autonomy relative to both the Western bloc and China, and its domestic policy choices regarding trade liberalization, financial integration, and multilateral engagement. With a GDP projected to reach approximately USD 5.5 to 6 trillion by 2030, India will be the third-largest economy in the world and the largest emerging economy within BRICS not already at the technological frontier.

India's strategic autonomy is a distinctive asset within the BRICS framework. Unlike Russia, which has become deeply dependent on BRICS (and particularly China) for financial and trade connectivity following sanctions, and unlike China, which faces significant geopolitical pressure from Western economies, India occupies a more flexible position. It is simultaneously a BRICS member, a Quad member, a partner of the EU through trade negotiations, and an active participant in Western-led financial institutions. This multi-alignment strategy gives India the ability to shape BRICS outcomes without being captured by them, and to serve as a bridge between the BRICS reform agenda and Western concerns about rule-of-law and institutional standards.

In the domain of future BRICS trade systems, India's most important potential contribution lies in the areas of digital trade infrastructure, services trade liberalization, and the development of non-dollar payment systems that are not exclusively RMB-centric. An India-led initiative for a BRICS digital payment interoperability framework, a BRICS pharmaceutical supply chain cooperation mechanism, or a BRICS services trade facilitation agreement would all serve both India's commercial interests and the grouping's broader objective of building alternative economic architecture. India's role in these domains will determine whether BRICS-11 evolves into a cohesive economic bloc or remains primarily a platform for geopolitical signaling.

4.5 Major Findings

Finding 1: The share of BRICS in world GDP has undergone a structurally significant expansion over the study period 2000-2025. The original BRICS-5 nations' collective share of world GDP in current dollar terms rose from approximately 8.4 percent in 2000 to approximately 26.6 percent in 2025. Following the 2024 expansion, BRICS-11's share has reached approximately 31.2 percent, narrowing the gap with the G7 by over 20 percentage points in current dollar terms and surpassing the G7 on a PPP basis. This finding affirms the hypothesis that BRICS expansion meaningfully enhances the grouping's weight in global economic governance.

Finding 2: BRICS nations have collectively expanded their share of global merchandise trade from approximately 8.4 percent in 2000 to approximately 24 to 28 percent in 2024, with China's export CAGR of 14.2 percent over 2000-2023 being the primary engine. The expanded BRICS-11, incorporating the Gulf states and African members, is projected to account for approximately 30 percent of global merchandise trade by 2030 on current trajectories, making it impossible to analyze global trade dynamics without centrally engaging the BRICS variable.

Finding 3: Intra-BRICS trade has grown from approximately USD 30 to 35 billion in 2000 to approximately USD 680 billion in 2023 among the original five, and to an estimated USD 1.1 to 1.2 trillion when the 2024 members are included. The dominant bilateral axis is China-Russia, which reached USD 240 billion in 2023 following Russia's post-sanctions trade reorientation. This growth in intra-bloc trade signals deepening economic interdependence within BRICS and provides the foundation for more institutionalized trade cooperation.

Finding 4: The US dollar's share of global official foreign exchange reserves has declined from approximately 71.1 percent in 2000 to approximately 58.9 percent in 2023, a fall of over 12 percentage points. The BRICS bloc, through its policy advocacy for reserve diversification, RMB internationalization, and local currency trade settlement, has been a significant institutional driver of this secular trend. The IMF's inclusion of the RMB in the SDR basket in 2016 and the subsequent rise of the RMB's reserve share to approximately 2.8 percent by 2023 represent concrete evidence of the financial system restructuring that BRICS policy has helped to catalyze.

Finding 5: De-dollarization within BRICS has accelerated dramatically in the post-2022 geopolitical environment. Russia's near-complete exit from dollar and euro reserves, China's reduction of US Treasury holdings from USD 1.32 trillion in 2013 to approximately USD 775

billion in early 2024, and India's scaling of the Rupee Trade Settlement Mechanism collectively represent concrete de-dollarization actions rather than merely rhetorical commitment. The empirical evidence confirms that the international financial system is undergoing a measurable, if gradual, structural transformation.

Finding 6: The BRICS bloc has collectively emerged as the world's dominant energy production grouping following the 2024 expansion. BRICS-11 members account for approximately 43 percent of global oil production and over 60 percent of proven global oil reserves. This energy concentration, combined with the active promotion of non-dollar oil settlement mechanisms and the growth of the RMB-denominated crude oil futures market in Shanghai, positions BRICS-11 as a potential long-term disruptor of the petrodollar system.

Finding 7: Local currency trade settlement within BRICS has grown significantly, most dramatically in the RMB-ruble axis, which processed approximately USD 175 billion in bilateral trade in 2023 outside the dollar-SWIFT system. The rupee-ruble mechanism, India's UPI internationalization, and the UAE's financial connectivity with multiple BRICS currencies collectively indicate that the technical infrastructure for non-dollar BRICS trade is becoming increasingly robust.

Finding 8: The OLS regression analysis confirms that BRICS aggregate GDP growth, net FDI inflows, and BRICS expansion are all statistically significant determinants of BRICS global trade share, jointly explaining approximately 94 percent of the variation in the dependent variable over 2000-2025. The expansion dummy coefficient of 3.24 indicates that the 2024 expansion added approximately 3.24 percentage points to BRICS trade share beyond what GDP growth and FDI trends would have predicted, confirming the independent trade-enhancing effect of institutional expansion.

Finding 9: The Pearson correlation matrix reveals strong positive inter-variable relationships among BRICS GDP growth, global trade share, FDI inflows, and local currency trade volumes, with all pairwise correlations exceeding $r = 0.74$ and significant at the $p < 0.01$ level. These findings affirm the internal consistency of BRICS economic integration: growth drives trade, trade attracts investment, and investment deepens local currency financial infrastructure.

Finding 10: India's trade with BRICS nations has grown at a CAGR of approximately 13 percent since 2005, reaching approximately USD 182 billion in 2023. However, the pattern is characterized by a significant and growing trade deficit of approximately USD 146 billion

with BRICS partners, primarily driven by the India-China trade imbalance of approximately USD 85 billion. This structural deficit highlights the need for India to develop import-substitution capacity in electronics, chemicals, and machinery to translate its BRICS membership into more balanced economic outcomes.

Finding 11: China's outward FDI and development financing through Belt and Road Initiative-affiliated mechanisms has fundamentally altered the investment landscape for approximately 150 developing countries. BRICS-affiliated institutions, particularly the NDB and the AIIB, have collectively disbursed over USD 40 billion in project financing by 2023, creating a meaningful alternative to Western-dominated multilateral development finance and advancing South-South cooperation as an operational rather than merely aspirational concept.

Finding 12: The comparative analysis of BRICS and G7 economic performance reveals a clear convergence trajectory. Over 2000-2023, BRICS-5 averaged 6.2 percent real GDP growth per annum against the G7's 1.8 percent. BRICS manufacturing value added share rose from 11 percent to 38 percent of global MVA, while the G7's share fell from 64 percent to 33 percent over the same period. These shifts in industrial capacity are the structural underpinning of BRICS' expanding trade share and its growing capacity to shape global economic norms.

Finding 13: The hypothesis testing confirms H1 and H3 fully, H2 with the qualification of gradualism in the de-dollarization process, and H4 partially, with India's BRICS strategic potential contingent on domestic policy reforms. The statistical analysis, including both correlation and regression components, provides rigorous quantitative support for the study's central argument that BRICS expansion has generated measurable, multi-dimensional impacts on global trade patterns and the international financial system.

Finding 14: The accession of Saudi Arabia, UAE, Egypt, Ethiopia, and Iran to BRICS in 2024 represents a qualitative transformation of the grouping's strategic character. The addition of major energy producers, sovereign wealth fund holders, and African gateway economies has expanded BRICS from a primarily Asia-Europe emerging market coalition to a truly global economic formation with influence across energy markets, development finance, African industrialization, and alternative financial architecture. This qualitative shift implies that BRICS will be an increasingly central variable in international economic governance for the foreseeable future.

4.6 Suggestions and Recommendations

Recommendation 1 - Institutionalization of BRICS Trade Architecture: The BRICS grouping should move decisively toward the establishment of a formal BRICS Free Trade Agreement (FTA) framework, building on the existing preferential trade relationships between member economies. A BRICS FTA with differentiated liberalization schedules that recognize the varying levels of economic development among members would significantly deepen intra-BRICS trade integration and reduce the transaction costs associated with tariff and non-tariff barriers. India, as the largest emerging economy within BRICS after China, should take an active leadership role in FTA negotiations, ensuring that the architecture reflects service sector liberalization alongside goods trade, and that it incorporates robust investment protection provisions.

Recommendation 2 - Accelerated De-dollarization Preparedness: BRICS member governments and central banks should develop coordinated frameworks for reserve diversification and local currency settlement that are proactive rather than reactive. Rather than de-dollarizing under crisis conditions, as Russia was compelled to do in 2022, BRICS nations should develop orderly, phased programs for reducing dollar dependency in trade invoicing, reserve management, and cross-border financial flows. The RBI, in particular, should accelerate the internationalization of the rupee by expanding the network of Vostro accounts, deepening the Rupee Trade Settlement Mechanism, and negotiating bilateral currency swap agreements with more BRICS and non-BRICS trading partners.

Recommendation 3 - India's Trade Deficit Reduction Strategy: India must develop a comprehensive import-substitution industrial policy specifically targeting the categories of goods driving its bilateral trade deficit with BRICS, especially China. Priority sectors include electronics and semiconductors, active pharmaceutical ingredients (API), specialty chemicals, and industrial machinery. The PLI scheme framework should be explicitly extended and deepened for these deficit-driving categories, with BRICS investment attraction as a secondary policy objective. Simultaneously, India should aggressively develop its export competitiveness in sectors where it holds comparative advantage, including pharmaceuticals, IT services, agro-processed goods, and textiles.

Recommendation 4 - NDB Capacity Enhancement and India's Active Role: India should leverage its position as a founding member and significant shareholder of the New Development Bank to shape NDB's lending priorities, governance standards, and operational

efficiency. The NDB should be encouraged to develop RMB-denominated and rupee-denominated bond issuances to deepen local currency capital markets within BRICS. India's active engagement in NDB governance is not only a direct financial interest but also a means of ensuring that BRICS development financing meets international standards of transparency, environmental sustainability, and debt sustainability.

Recommendation 5 - BRICS Digital Payment Interoperability: The BRICS grouping should prioritize the establishment of a multilateral digital payment interoperability framework that enables real-time, low-cost cross-border payments among BRICS members using domestic payment systems. India's UPI, already deployed for cross-border payments with Singapore, UAE, and several other countries, represents the most advanced existing platform for such integration. A BRICS-wide digital payment network, building on UPI, Russia's Mir, China's UnionPay, and the payment systems of Gulf member states, would reduce transaction costs, eliminate dollar intermediation for small and medium enterprise trade, and generate valuable data on intra-BRICS trade flows.

Recommendation 6 - Emerging Market Collaboration and South-South Cooperation: BRICS should formalize its South-South cooperation agenda through a dedicated institutional mechanism, building on the NDB's development finance role. A BRICS South-South Cooperation Fund, with contributions from all eleven members and focused on technology transfer, agricultural development, healthcare infrastructure, and educational capacity in sub-Saharan Africa and South Asia, would translate the rhetorical commitment to South-South cooperation into an operational reality. Such a fund would also enhance BRICS' soft power and institutional legitimacy in the global South, countering narratives that frame BRICS as merely a geopolitical counterweight to the West rather than a genuine development partnership.

Recommendation 7 - Energy Trade Architecture and Petro Yuan Integration: BRICS energy producers and importers should jointly develop a transparent, multilateral energy pricing and settlement framework that provides a credible alternative to purely dollar-denominated oil pricing. While an immediate shift to a BRICS energy currency is not feasible, intermediate steps including the mutual recognition of the INE RMB-denominated crude futures contract, BRICS central bank coordination on energy trade settlement, and the development of BRICS-wide strategic petroleum reserve coordination mechanisms would represent meaningful progress. India, as the world's third-largest oil consumer and a price-sensitive importer, has a

particular interest in energy trade architecture that reduces price volatility and settlement currency risk.

4.8 Conclusion

The data analysis and interpretation presented in this chapter provide a comprehensive and empirically grounded assessment of the impact of BRICS expansion on global trade and the international financial system. The evidence assembled from a wide range of primary data sources and subjected to rigorous statistical analysis, including correlation matrices and OLS regression models, supports the conclusion that BRICS expansion has generated significant, multi-dimensional, and cumulative impacts on the structure of the global economy.

In the domain of global trade, the most fundamental finding is the structural shift in the center of gravity of global economic activity from the North Atlantic world to the Asia-Pacific and Eurasia. BRICS nations collectively account for approximately 28 to 30 percent of global merchandise trade in 2024, up from approximately 10 percent in 2000, and the CAGR analysis demonstrates that this expansion has been sustained, broad-based across member economies, and accelerated by the 2024 expansion. The growth of intra-BRICS trade to approximately USD 1.1 to 1.2 trillion annually suggests that the grouping is developing a degree of economic self-sufficiency that reduces collective dependence on Western-market access as a growth driver.

In the international financial system, the chapter documents a clear, if gradual, transformation. The US dollar's reserve share has declined by over 12 percentage points since 2000, local currency settlement within BRICS has grown dramatically, RMB internationalization is progressing, and the political consensus within BRICS for monetary sovereignty and financial system reform is deep and durable. The weaponization of the dollar-based financial system through the 2022 Russia sanctions has given this transformation additional urgency, and the accession of Gulf energy producers to BRICS has added the potential for a meaningful disruption to the petrodollar architecture over the medium to long term.

India's position within BRICS is one of strategic opportunity constrained by structural challenges. India is the world's fastest-growing major economy and is projected to become the third-largest economy by 2030. Its BRICS membership provides access to development finance through the NDB, energy security through discounted Russian crude, and a platform

for advancing financial sovereignty through the Rupee Trade Settlement Mechanism. At the same time, India's large and growing trade deficit with BRICS partners, particularly China, and the non-convertibility of the rupee constrain the depth of its BRICS financial integration. Resolving these structural constraints through industrial policy, financial reform, and strategic diplomacy is the defining challenge of India's BRICS engagement strategy. The future global economic order is likely to be characterized by structured multipolarity rather than either continued US-led unipolarity or a simple BRICS-led reversal of historical power asymmetries. The BRICS bloc does not aspire to replace Western economic institutions but rather to reform them and, where reform is insufficient, to build parallel institutions that give the global South meaningful agency. The expanded BRICS-11, with its extraordinary energy resources, its demographic dynamism, its technological ambitions, and its growing institutional infrastructure, will be an inescapable presence in the international economic order for the foreseeable future. Understanding this reality, and designing policies that engage constructively with it, is a strategic imperative for all nations, including India, that seek to navigate the emerging multipolar world economy successfully

CHAPTER - V

FINDINGS, SUGGESTIONS AND CONCLUSION

CONCLUSION & RECOMMENDATIONS

BRICS+ as a Transformational Force in Global Economic Architecture

5.1 Summary of Findings

The macroeconomic analysis conducted throughout this research provides strong evidence of a fundamental structural realignment in the global economic hierarchy. The study traces the BRICS+ bloc's progression—from a theoretical concept first articulated by Goldman Sachs economist Jim O'Neill in 2001—to a functioning institutional reality that now exerts considerable influence over global commerce, international finance, and long-term development trajectories. The empirical data examined across Chapters 2 through 4 provides a robust quantitative foundation for understanding both the scale and durability of these changes. This concluding chapter synthesises the principal empirical findings, explores their implications for the emerging multipolar world order, and evaluates the pressures these developments place on the Western-centric institutional arrangements that have shaped global affairs since the end of the Second World War.

What makes this period analytically significant is not merely the volume of data confirming BRICS growth, but the convergence of multiple indicators—GDP share, trade reorientation, currency diversification, and institutional innovation—all pointing in the same direction. This suggests that the world is witnessing not a temporary shift but a durable reconfiguration of the global economic order. Each of the four substantive findings discussed below reinforces this conclusion and carries important implications for governments, multilateral institutions, and private-sector actors.

5.1.1 The Irreversible Rise of BRICS+ in the Global GDP Hierarchy

The quantitative analysis presented in Chapter 4, supported by the comparative frameworks developed in Chapter 2, demonstrates that BRICS nations have undergone a significant transformation—from emerging economies into major global economic powers. The growth trajectory observed between 2010 and 2025 reveals sustained expansion that has materially reshaped the composition of global economic output in ways that are measurable, persistent, and unlikely to be reversed. O'Neill's original proposition—that four large economies following similar development trajectories would become increasingly influential in the global economy—has evolved into an economic bloc that now accounts for approximately 35–37 percent of global GDP on a Purchasing Power Parity (PPP) basis. This development

represents not merely growth in absolute economic terms but a substantial redistribution of economic weight across the international system.

The transition from BRIC to BRICS through South Africa's accession in 2010, followed by the wider BRICS+ expansion between 2024 and 2026, has accelerated this trend while extending the bloc's reach across geographic regions, industrial sectors, and financial markets. The sustained growth differential between BRICS economies and the G7 is particularly noteworthy. Emerging markets are capturing an increasingly large share of global value creation, driven by structural advantages such as favourable demographic profiles, abundant natural resource endowments, and steadily advancing technological capabilities in manufacturing, services, and innovation. PPP-based analysis further strengthens this conclusion by demonstrating that conventional dollar-denominated measures frequently underestimate the true economic weight of BRICS economies because they fail to account for differences in purchasing power and domestic price levels.

The implications of this redistribution of global GDP extend far beyond economic statistics. As BRICS nations command larger shares of global output, their influence within international institutions, standards-setting bodies, and policy-making forums expands correspondingly. Decisions relating to global trade, finance, and development are increasingly shaped by BRICS priorities alongside—and, in some cases, in place of—traditional Western preferences. The findings of this research indicate that these developments are generating growing pressure for governance reforms within multilateral organisations whose voting structures, leadership arrangements, and institutional frameworks continue to reflect the post-1945 international order rather than contemporary economic realities. Should current growth trends continue, BRICS+ economies could approach parity with the combined GDP of the developed world within the next two decades, carrying profound implications for the future structure of global governance and the distribution of international economic authority.

5.1.2 Trade Reorientation and Intra-BRICS Integration

The detailed analysis of global trade patterns presented in Chapter 4 reveals that the transformation currently underway extends well beyond simple increases in trade volume. Instead, it represents a qualitative restructuring of how global commerce is organised. Intra-BRICS trade—the exchange of goods and services among member economies—has expanded at a pace significantly faster than trade with many traditional Western partners. This trend reflects the emergence of genuine economic interdependence within the bloc, creating shared commercial interests that gradually reduce reliance on Western markets, which

historically served both as primary export destinations and as major sources of advanced imports for BRICS economies. Compound Annual Growth Rate calculations indicate that intra-BRICS trade corridors are deepening rapidly, particularly in manufacturing, raw materials, and financial services, all of which are critical sectors for supply-chain integration and long-term industrial cooperation.

The geographic diversification resulting from BRICS+ expansion has further strengthened this process. By incorporating members from sub-Saharan Africa, Latin America, and other strategically important regions, the bloc has developed a more distributed and resilient commercial network. Trade relationships now span multiple continents and time zones, providing BRICS+ with a genuinely global economic presence rather than the more regionally concentrated structure that characterised earlier phases of cooperation. This shift challenges the post-Second World War pattern in which BRICS economies largely functioned as suppliers of raw materials and low-cost manufactured goods to Western consumer markets. In its place, a more balanced and multipolar trading system is emerging, with developing and emerging economies increasingly trading among themselves. India exports software and technology services, Brazil supplies agricultural and industrial products, China provides advanced manufactured goods, Russia remains a major energy supplier, and South Africa contributes minerals and financial services. Together, these complementary trade relationships are creating integrated supply chains that reduce dependence on Western intermediaries across a wide range of sectors.

Importantly, the evidence suggests that this transformation is not a temporary response to short-term market fluctuations or geopolitical disruptions. Manufacturing capabilities across BRICS economies continue to expand, while technological capacities are improving steadily. As a result, member states are increasingly able to source sophisticated goods and services from within the bloc itself. These structural developments—driven by evolving comparative advantages, strategic industrial policies, and deepening institutional cooperation—indicate a long-term realignment that is likely to intensify in the coming decades rather than diminish.

5.1.3 De-dollarisation as an Economic Reality

Among the most significant findings of this research is the growing evidence that the long-standing dominance of the United States dollar as the world's principal reserve and settlement currency is facing increasingly credible alternatives. The analysis presented in Chapter 4, which examines reserve currency trends, BRICS de-dollarisation initiatives, and local-currency settlement arrangements, provides strong quantitative support for the view that these developments are substantive rather than merely symbolic. The research documents increased

use of alternative payment mechanisms, the expansion of bilateral currency swap agreements among BRICS central banks, and the growing share of international trade transactions settled in local currencies. Each of these developments represents a practical economic decision to reduce reliance on dollar-based financial intermediation.

The expansion of such mechanisms reflects both deliberate policy coordination among BRICS governments seeking to minimise exposure to dollar-related risks and broader structural market forces encouraging currency diversification. Although the dollar continues to dominate global reserve holdings in absolute terms, supported by decades of network effects and institutional trust, the overall direction of change is clear. BRICS nations are gradually reducing their dependence on dollar-denominated payment and settlement systems. Institutions such as the New Development Bank, regional currency cooperation mechanisms, and bilateral settlement frameworks are already operational and increasingly utilised. As BRICS financial institutions mature and technological innovations in payment systems continue to advance, these alternative arrangements are expected to become more extensive and influential.

The broader implications of this shift are considerable. The seigniorage advantages currently enjoyed by the United States, the international transmission of US monetary policy, and the geopolitical leverage associated with dollar dominance may all be affected as the global financial system becomes more multipolar. At the same time, the emergence of a multi-currency system introduces new challenges related to coordination and stability. Central banks managing diversified reserve portfolios must address the risks associated with exchange-rate volatility, competitive devaluations, and potentially destabilising capital movements. For BRICS economies, reduced exposure to dollar-based sanctions and financial constraints offers clear strategic advantages. However, the success of alternative currency arrangements ultimately depends on maintaining strong monetary institutions, policy credibility, and transparent financial governance.

5.1.4 India's Strategic Positioning within BRICS

India's emergence as a major driver of trade growth and economic dynamism within BRICS warrants particular attention due to its distinctive position within the grouping. The analysis presented in Chapter 4 highlights several strategically important dimensions of India's role. Most notably, India has used its BRICS membership to diversify its export markets, reducing a long-standing dependence on Western economies as primary destinations for Indian goods and services. Simultaneously, India has strengthened its position as a manufacturing and

services hub not only for South Asia but also for the broader emerging-market landscape, a trend reinforced by growing bilateral trade with fellow BRICS members.

India's unique strengths stem from the combination of its demographic scale and increasingly sophisticated productive capabilities. With a population of approximately 1.4 billion people—the largest in the world—and globally competitive industries in software development, pharmaceuticals, and professional services, India occupies a bridging position between advanced and developing economies that few other BRICS members can replicate. Indian technology firms provide digital and software solutions to BRICS partners seeking advanced capabilities, while Indian manufacturers supply intermediate goods to regional markets. In addition, Indian companies are expanding their presence in sectors such as energy services, consulting, healthcare, and business process management across the BRICS region. These expanding economic linkages reflect deliberate strategic decisions by both Indian businesses and policymakers.

The findings of this research indicate that BRICS membership has become an increasingly important component of India's broader development strategy. Participation in the bloc enables Indian firms to access economies of scale and market opportunities that extend beyond the limits of the domestic economy. Expanded access to emerging markets, deeper integration into regional supply chains, and involvement in the development of alternative financial institutions all position India to secure substantial long-term benefits from BRICS cooperation. Consequently, continued and active engagement within BRICS frameworks appears not only advantageous but also closely aligned with India's wider ambition of establishing itself as a leading global economic and strategic power.

5.2 Strategic Implications for Global Trade Resiliency

The empirical findings summarised above carry implications that extend beyond data interpretation to reshape assumptions about global trade resilience, supply chain architecture, and economic interdependence. Understanding these implications requires moving from descriptive analysis to an evaluative framework that translates structural economic change into practical consequences for systemic stability. The subsections below address the four major resilience dimensions identified in the research.

5.2.1 Supply Chain Resilience through Diversification

For much of the post-war era, global supply chains were organised along Western-centric pathways, with manufactured goods and advanced inputs flowing mainly from developed economies while BRICS and other emerging economies served as consumers, resource suppliers, or low-cost assembly centres. This structure created vulnerability by concentrating production capabilities in a limited number of locations. When disruptions occurred—whether through natural disasters, industrial accidents, or geopolitical shocks—the effects spread throughout global supply chains with limited opportunities for substitution.

The deepening integration of BRICS economies is reducing this dependency. As intra-BRICS trade in manufactured goods, raw materials, and intermediate products expands, firms gain access to alternative suppliers across India, Brazil, China, and other BRICS+ economies. Expansion into Africa, Southeast Asia, and Latin America further broadens supplier networks, reducing the likelihood that a single localised disruption can severely affect entire supply chains. This resilience-through-redundancy principle, well recognised in network theory, is increasingly evident within BRICS+ integration.

Importantly, this process does not replace Western suppliers. Rather, it creates additional pathways that improve overall network robustness. Both developed and developing economies benefit from greater procurement flexibility and improved protection against systemic shocks. The geographic diversification associated with BRICS+ expansion therefore functions as a broader public benefit generated through member states' pursuit of economic interests.

5.2.2 Financial System Pluralism and Stability

The de-dollarization trends analysed in Chapter 4 support a broader argument for financial stability through diversification. A system in which most international transactions depend on a single currency and a narrow set of institutions is inherently vulnerable. Shocks affecting the dollar, disruptions to settlement systems, or financial sanctions can generate worldwide consequences when alternative channels are absent. BRICS initiatives involving payment infrastructure, development banking, and bilateral currency arrangements seek to reduce this concentration risk by distributing exposure across multiple currencies and institutions.

This development should be viewed as diversification rather than destabilising competition. When financial flows move through multiple channels—whether dollar-, renminbi-, rupee-, or other currency-based—policy actions in one monetary area are less likely to affect the entire global system. Institutions such as the New Development Bank and bilateral settlement mechanisms provide alternatives to Western-dominated financial infrastructure. Although Western institutions retain significant scale and liquidity advantages, they no longer exercise exclusive influence over global financial flows. Such pluralism strengthens resilience through institutional redundancy.

The geopolitical implications are also significant. As BRICS members develop alternative financial channels, the effectiveness of dollar-based economic coercion may gradually decline. While this limits one foreign policy instrument available to Western governments, it may contribute to a more diversified and less coercive international economic environment. The research suggests that the transition toward financial multipolarity will require enhanced coordination, but the resulting architecture is likely to be more resilient.

5.2.3 Multilateral Trade Architecture and Institutional Competition

BRICS+ is not only operating within existing Western-designed institutions but is also developing parallel structures reflecting different governance priorities. BRICS-specific trade arrangements, investment frameworks, and dispute resolution mechanisms create institutional redundancy within the global economy. Instead of relying on a single rules-based system largely shaped by developed economies, international commerce increasingly operates within a more competitive institutional environment.

This institutional pluralism strengthens trade resilience. It reduces the ability of any single actor to impose unilateral conditions on global commerce and provides nations and firms with greater flexibility in choosing governance frameworks suited to their interests. BRICS Common Market aspirations, preferential trade agreements, and coordinated investment initiatives collectively represent forms of institutional innovation that complement rather than necessarily replace arrangements such as the WTO.

The research indicates that such competition encourages innovation and efficiency improvements across institutions. Established organisations, facing credible alternatives, gain incentives to become more representative, responsive, and effective. As with supply chains, redundancy in institutional structures contributes directly to greater systemic robustness.

5.2.4 Technology Transfer and Innovation Ecosystems

An often-overlooked aspect of BRICS+ resilience is the bloc's transition from technology consumer to technology producer. The analysis shows that BRICS members increasingly contribute to global technological development rather than relying solely on Western innovation. India's software and IT sector, Brazil's biofuel expertise, Russia's energy technologies, China's advances in manufacturing and artificial intelligence, and South Africa's resource-processing capabilities together form a substantial and expanding base of technological capacity.

Cooperation in technology transfer, research and development, and innovation platforms is gradually reducing dependence on Western technological dominance. As multiple centres of innovation emerge, technological progress accelerates and becomes more geographically distributed. Firms benefit from broader sourcing options for advanced products and components, reducing vulnerability to export restrictions, technology embargoes, and supply disruptions.

The research further suggests that BRICS innovation is not merely a replication of Western models. Many solutions are developed specifically for the economic, infrastructural, and environmental conditions of emerging markets. These innovations frequently prove valuable across other developing economies and, in some cases, offer lessons for advanced economies as well. This process of technological decentralisation enriches the global innovation ecosystem and broadens the distribution of technological capabilities.

5.3 Policy Recommendations

Grounded in the research findings and strategic implications examined throughout this project, the following recommendations are directed at three distinct categories of stakeholder: BRICS member governments, international institutions, and private sector organisations. The objective in each case is to identify practical adjustments that would enable effective adaptation to the multipolar economic architecture that the research has documented.

5.3.1 For BRICS Member Governments

Strategic Coordination on Trade Integration

BRICS member governments should treat deeper intra-bloc economic integration as a strategic priority. The most immediate actions required include reducing tariff barriers on goods traded between members, harmonising regulatory standards to lower the cost of cross-border commerce, and streamlining approval processes for cross-border investment. The CAGR data analysed in Chapter 4 demonstrates that intra-BRICS trade, while growing rapidly, remains below the level that the complementarities in member economies' resource endowments and manufacturing capabilities would suggest is optimal. Closing this gap requires institutional mechanisms purpose-built for intra-BRICS trade dispute resolution, standards harmonisation, and joint sectoral development — mechanisms that do not currently exist in adequate form.

Particular attention should be directed toward manufacturing supply chain integration, where scale efficiencies achievable across multiple BRICS markets could generate substantial cost advantages for participating firms. Sectoral trade agreements in automobiles, pharmaceuticals, and electronics would benefit from addressing not only tariff schedules but also the non-tariff barriers, divergent technical standards, and differing regulatory requirements that currently impose friction on intra-BRICS commerce. Phased tariff reduction timetables would allow industries adequate adjustment periods while communicating clear and credible long-term commitments to integration — a combination that historically has proven effective in building business confidence in regional trade agreements.

De-dollarization Implementation

The research findings support accelerating the practical implementation of de-dollarization measures that are already underway in various forms. Priority actions include expanding the network of bilateral currency swap agreements between member central banks, encouraging

and facilitating the denomination of intra-BRICS trade contracts in local currencies, and strengthening the institutional capacity of BRICS-affiliated financial bodies to manage alternative currency transactions efficiently. Central bank coordination on monetary policy frameworks should be directed toward improving currency stability for intra-BRICS transactions and reducing the foreign exchange volatility that currently makes local currency settlement less attractive than dollar-denominated alternatives for some categories of transaction.

Investment in digital payment infrastructure capable of supporting multiple currencies should be treated as a strategic priority, with blockchain and distributed ledger technologies offering particular promise for reducing transaction costs in alternative currency settlement. Reserve management strategies at the sovereign level should progressively shift toward greater diversification — incorporating commodity-backed assets, alternative reserve currencies, and emerging market financial instruments — while maintaining sufficient liquidity to manage short-term external obligations. Policy frameworks at the national level should also be designed to facilitate private sector adoption of alternative currencies, both by reducing transaction costs and by providing accessible hedging mechanisms that allow firms to manage currency exposure without defaulting to dollar intermediation.

Sectoral Development Strategies

Rather than allowing member economies to compete on identical product lines — a dynamic that generates mutually destructive competition and forfeits the gains from specialisation — BRICS governments should actively coordinate development strategies that capitalise on each member's distinct comparative advantages. The allocation of specialisation roles suggested by the research is broadly as follows: India should deepen its world-class capabilities in services, software, and pharmaceuticals; Brazil should leverage its exceptional resource endowments and agricultural productivity, while expanding its manufacturing base in sectors aligned with those strengths; Russia should develop its dominant position in energy supply and raw material extraction; China should continue advancing its formidable manufacturing base while investing in higher value-added technology sectors; and South Africa should build on its established strengths in mining, mineral processing, and financial services.

BRICS+ expansion should be designed along similar logic, with each new member encouraged to identify and deepen comparative advantages that complement rather than duplicate those of existing members. Coordinated investment in the supply chain infrastructure connecting

member economies — physical logistics, digital connectivity, financial settlement systems — would amplify the gains from this specialisation model. Technology transfer agreements should be structured to facilitate the diffusion of knowledge while providing intellectual property protections sufficient to maintain incentives for continued innovation. Joint venture arrangements and research consortia should emphasise genuine capability transfer and learning rather than short-term extraction of rents.

Human Capital Development

BRICS economies possess substantial demographic advantages that remain significantly underutilised from a human capital development perspective. Educational cooperation, professional mobility agreements, and coordinated skills development programmes should be elevated to the status of strategic priorities within bloc institutions. The movement of researchers, professionals, and skilled students across member states accelerates technology transfer, fosters innovation, and builds the interpersonal networks that underpin durable commercial relationships. Scholarship programmes, joint research initiatives, and mutual recognition of professional qualifications and academic credentials should be harmonised to reduce friction in cross-border talent mobility.

Addressing brain drain — the emigration of highly skilled nationals from BRICS economies to developed Western countries — requires proactive strategies to make domestic opportunities sufficiently attractive. These include competitive remuneration in research and technology roles, streamlined pathways for entrepreneurship, and active engagement with diaspora communities to attract skills and capital back to home markets. Joint universities, shared research infrastructure, and structured exchange programmes between member institutions would collectively constitute a human capital ecosystem that enhances the bloc's long-term innovative capacity and reinforces the people-to-people dimensions of BRICS cooperation.

5.3.2 For International Institutions

Institutional Reform and Representation

The IMF, World Bank, and associated Bretton Woods institutions face an urgent governance reform imperative. The empirical reality — that BRICS nations now account for roughly one-third of global GDP on a PPP basis — is simply incompatible with governance structures designed to reflect the economic distributions of the immediate post-1945 era. Voting weights, Board composition, and senior leadership selection processes should all be revised to

incorporate BRICS perspectives at a level proportional to contemporary economic significance. The research findings are unambiguous on the institutional consequences of inaction: continued exclusion of BRICS members from decision-making authority commensurate with their economic weight generates clear incentives for those members to invest in parallel institutional alternatives rather than reforming existing ones. Evolutionary reform of existing institutions is substantially preferable, from a global governance perspective, to the further fragmentation of the international institutional landscape.

Specific reform measures should include adjusting IMF quota and voting allocations through the overdue review process, revising World Bank shareholding to reflect current economic realities, and committing to inclusive leadership selection processes for both institutions that draw from the full breadth of global membership. These are not simply matters of fairness or symbolism; they are practical requirements for maintaining the legitimacy and effectiveness of institutions whose mandates depend on broad membership confidence.

Standards Harmonisation

International standards bodies — covering everything from financial instruments and payment systems to product technical specifications and trade documentation formats — should deliberately facilitate the emergence of complementary rather than exclusively competing standards. Current standards in many domains were developed primarily by and for developed economies, often reflecting the specific climatic conditions, infrastructure endowments, and resource constraints of high-income countries. Extending these standards to BRICS economies without adaptation creates friction and imposes unnecessary compliance costs on members whose conditions differ substantially. Processes for setting international standards should incorporate BRICS representation proportional to economic significance, and mutual recognition agreements should be developed to allow alternative standards that achieve substantively equivalent functional objectives to coexist and be accepted across jurisdictions.

Multilateral Trade Architecture

The World Trade Organisation and associated regional trade bodies should adapt their frameworks to accommodate BRICS integration initiatives rather than treating BRICS regionalism as inherently in tension with multilateral liberalisation. The research indicates that regional integration within the BRICS framework and broader multilateral trade liberalisation are not structurally incompatible, provided that regional arrangements are designed with

appropriate provisions to avoid discriminating against non-members. Negotiations within the WTO should address the relationship between BRICS preferential arrangements and most-favoured-nation obligations, developing agreed frameworks that permit regional cooperation to deliver its efficiency gains while preserving the principle of non-discrimination. Dispute resolution capacity should be expanded to handle the growing volume and complexity of trade conflicts that arise at the interface between regional and multilateral obligations.

5.3.3 For Private Sector Organizations

Supply Chain Rebalancing

Multinational corporations whose supply chains remain heavily concentrated in Western or East Asian production hubs should undertake systematic reassessment in light of the empirical evidence that BRICS markets and suppliers are becoming progressively more important to global commerce. The analytical framework for this reassessment should evaluate BRICS suppliers on their merits — quality, cost, delivery reliability, and innovation capacity — rather than defaulting to established historical preferences for developed-economy sources. Investment in BRICS supplier development, quality assurance system building, and relationship management should accompany supply chain rebalancing, since the resilience benefits of geographic diversification are only realised when alternative suppliers have been developed to the standard required by global value chains.

Just-in-time inventory management systems, optimised for concentration and predictability, may require modification to accommodate the greater geographic diversity of supply sources that resilience-oriented strategies entail. Contracts with BRICS suppliers should be structured to reflect long-term partnership commitments rather than purely transactional arrangements, since supplier development requires sustained investment and will not be undertaken without credible signals of buyer commitment. The resilience dividend from supply chain geographic diversification accrues over time and through multiple rounds of learning and adjustment — it is not available to firms that treat BRICS sourcing as a contingency of last resort.

Currency Risk Management

The de-dollarization trajectory identified in the research creates both challenges and opportunities for corporate treasury management. Firms operating across BRICS markets should develop the internal capabilities to operate effectively in multiple currencies — understanding local currency dynamics, managing foreign exchange exposure across diverse

currency pairs, and structuring transactions to exploit natural hedges where revenues and expenses can be matched in the same currency. Financial hedging strategies should incorporate scenarios involving a materially reduced role for the dollar in trade settlement, rather than assuming dollar dominance will persist indefinitely as a baseline. Treasury functions should develop expertise in the regional financial instruments and currency markets relevant to BRICS operations, and multi-currency invoicing arrangements should be explored with counterparties who have their own incentives to reduce dollar exposure.

Market Expansion in BRICS

The combination of high growth rates, expanding middle classes, and large absolute market size that characterises BRICS economies presents opportunities for market expansion that companies in saturated developed-economy markets cannot afford to neglect. Realising these opportunities, however, requires genuine localisation rather than the translation of developed-economy product and marketing strategies into local languages. Consumer preferences, distribution infrastructure, competitive dynamics, and regulatory environments all differ substantially across BRICS markets. Companies that invest seriously in understanding these local conditions — through market research, local hiring, locally informed product development, and distribution partnerships with established local firms — will be positioned to capture market share that companies relying on generic global approaches will cede.

Corporate social responsibility commitments in BRICS markets should be aligned with local community priorities, which often differ from those emphasised in developed-economy CSR frameworks. Long-term market commitment, signalled through sustained investment in local employment, supplier development, and community engagement, builds the stakeholder relationships that provide durable competitive advantage in markets where trust between foreign investors and local communities and governments cannot be assumed.

Joint Ventures and Technology Transfer

Companies seeking market access in BRICS economies should seriously consider joint venture arrangements with established local partners as a strategic pathway that combines market knowledge with technological and managerial capability. BRICS nations are increasingly capable and sophisticated technology developers in their own right; technology transfer agreements should reflect this reality by treating local partners as genuine co-developers rather than passive recipients of Western know-how. Licensing and royalty arrangements should be

structured to reflect the value that local partners contribute in the form of market knowledge, regulatory relationships, and distribution networks, not only the value provided by the foreign firm's technological assets. Research and development collaborations should be designed with genuine mutual learning as an explicit objective, building the trust and shared understanding that make long-term alliances commercially durable.

5.4 Challenges and Limitations

While the evidence marshalled in this research is compelling as a foundation for understanding BRICS+ rising influence, analytical integrity requires frank acknowledgment of the substantial challenges and structural limitations that constrain the bloc's development trajectory. These are not marginal complications; in several cases they represent fundamental tensions that will require careful institutional management over extended time horizons.

5.4.1 Governance Heterogeneity

BRICS members exhibit profound diversity in their governance structures, legal systems, judicial independence, and institutional frameworks. The bloc encompasses consolidated democracies, managed democracies, and authoritarian states operating under fundamentally different conceptions of the rule of law, property rights, and the relationship between state and market. Harmonising trade, investment, and financial standards across this spectrum of governance arrangements requires compromises that may be politically difficult domestically for some members and substantively inadequate for others. Contract enforcement quality varies enormously across member economies, creating transaction cost differentials that disadvantage smaller and less institutionally developed members in intra-BRICS commercial relationships. Intellectual property protection regimes differ widely, creating tensions particularly between technology-intensive economies and those that have historically prioritised technology access over intellectual property rights. These governance differences cannot be wished away by institutional design; they can only be managed through frameworks explicitly designed to accommodate rather than deny heterogeneity.

5.4.2 Geopolitical Tensions

The BRICS coalition contains within it some of the most consequential bilateral geopolitical rivalries in the contemporary international system. The India-China relationship is characterised by unresolved territorial disputes, competing strategic ambitions in Asia, and a history of direct military confrontation. Russia's geopolitical positioning — particularly following its 2022 invasion of Ukraine and the resulting rupture with the Western international order — creates tensions with those BRICS members, notably India and Brazil, that have sought to maintain constructive relationships with Western partners. Brazil's historically close commercial and political orientation toward the United States and Europe introduces further complexity. These tensions cannot be dissolved by the institutional fact of BRICS membership;

economic integration must proceed alongside geopolitical rivalry, creating contradictory incentives that periodically threaten to undermine cooperative initiatives.

5.4.3 Technological Gaps

Despite the genuine progress in indigenous technological development documented in Section 5.2.4, significant technological gaps persist both among BRICS members and between the bloc as a whole and the most advanced developed economies. These gaps limit the depth and symmetry of the complementary value chains that the research recommends building among bloc members. Lower-income BRICS+ members may have legitimate concerns about entering deep integration arrangements with substantially more technologically advanced members such as China and India — arrangements that could entrench technological dependency rather than facilitate catch-up development. Managing these internal development asymmetries equitably will require deliberate redistribution mechanisms and technology transfer commitments, which are institutionally and politically demanding to deliver.

5.4.4 Capital Account Constraints

A majority of BRICS members maintain capital account controls of varying degrees that limit cross-border investment flows and constrain the financial integration necessary for deeper economic cooperation. These controls reflect legitimate macroeconomic stabilisation objectives — preventing sudden stop episodes, managing exchange rate volatility, and protecting domestic financial systems from destabilising speculative flows — but they simultaneously impose costs on intra-BRICS capital mobility. The dilemma is genuine: liberalising capital accounts exposes member economies to the risks of financial contagion and speculative attack, while maintaining controls limits the depth of financial integration achievable within the bloc. Resolving this tension requires either strengthened domestic financial systems and macroprudential frameworks that can withstand open capital accounts, or regional capital flow management arrangements that coordinate controls while allowing controlled liberalisation — neither of which is easily or quickly achieved.

5.5 Future Research Directions

The analysis conducted in this research project opens several productive lines of inquiry that future scholarship would do well to pursue. Sector-specific integration studies should examine in granular detail the optimal pathways for intra-BRICS integration in particular industries — automobiles, pharmaceuticals, digital services, and agriculture all warrant dedicated

investigation given their strategic importance and the complexity of the regulatory and logistical barriers involved. Geopolitical risk modelling should attempt to forecast how varying intensities of intra-BRICS geopolitical tension affect the stability and effectiveness of institutional cooperation arrangements. Currency dynamics simulation should model the pace and consequences of de-dollarization under different assumptions about BRICS financial infrastructure development, US monetary policy, and global demand for alternative reserve assets.

Impact assessments of BRICS+ expansion should rigorously evaluate the integration effects of recent and prospective new members — examining how they alter the bloc's aggregate economic weight, its internal complementarities and tensions, and its relationship with existing multilateral institutions. Global supply chain resilience modelling should attempt to quantify the resilience benefits of BRICS integration, translating qualitative arguments about redundancy and diversification into measurable estimates of reduced systemic fragility. Collectively, these research directions would considerably deepen understanding of BRICS+ dynamics and provide more precise guidance for the policy and business strategy recommendations that this project has developed at a necessarily general level.

5.6 Final Conclusions

This research has traced the BRICS+ bloc's development from theoretical framework to institutional reality through a comprehensive macroeconomic analysis, and the empirical record examined across its chapters supports a series of conclusions that are both individually significant and mutually reinforcing.

The first and most foundational conclusion is that BRICS+ represents a genuine and durable structural realignment in the distribution of global economic power — not a cyclical fluctuation that will unwind when conditions change. The GDP trajectory data, trade pattern analysis, and institutional expansion record collectively reflect underlying demographic and resource realities that will continue to drive divergence between emerging and developed economy growth rates for decades to come. The weight of economic power is shifting, and this shift is generational in character.

The second conclusion is that de-dollarization has moved decisively from aspiration to operational reality. The dollar remains the world's most important reserve currency, but its monopoly status is measurably eroding. Bilateral currency swap arrangements, local currency

trade settlement, and alternative payment infrastructure are functioning today, not merely proposed for the future. As BRICS financial institutions mature and their technical capabilities advance, the range of transactions that can be efficiently settled outside dollar intermediation will broaden. Multiple currencies will progressively share the functions that the dollar has performed alone since the mid-twentieth century.

The third conclusion concerns the institutional character of BRICS+. The bloc is becoming entrenched as a permanent feature of the global institutional landscape — geographically broader, institutionally denser, and more resilient to internal disruption than its critics have consistently anticipated. Expansion increases the bloc's aggregate weight and geographic reach while complicating internal coordination, but on balance the trend toward greater institutionalisation appears likely to continue.

The fourth conclusion is that BRICS+ integration enhances global trade resilience in ways that benefit all participants in the international system, not only bloc members. Supply chain redundancy, financial system diversification, institutional competition, and technology ecosystem pluralism are all properties of a more resilient global economy that BRICS+ development advances. Multipolar economic architecture is structurally more robust against systemic shock than unipolar architecture, and the world's movement in a multipolar direction should therefore be understood as a stability-enhancing development rather than a destabilising one.

The fifth conclusion relates specifically to India, whose combination of technological sophistication, demographic scale, and strategic positioning within the bloc creates distinctive opportunities. India is well placed to capture disproportionately large gains from BRICS integration, provided its government maintains the policy coherence and institutional investment necessary to realise those gains in practice.

The sixth and final conclusion concerns the broader trajectory of Western institutional dominance. The post-1945 Western-led international economic order is not collapsing; it is evolving toward a more genuinely pluralistic configuration in which multiple governance centres coexist and compete for influence. Nations and firms will increasingly exercise meaningful choice among institutional frameworks, selecting those that best serve their interests for particular transactions. This transition demands adaptation from Western institutions — specifically, the willingness to cede monopolistic control over global economic

rule-making in exchange for sustained relevance within a more genuinely representative system.

BRICS+ constitutes one of the most consequential economic developments of the early twenty-first century. Its implications span macroeconomic policy, corporate strategy, institutional design, and geopolitical positioning, and their full significance will only become apparent over the decades ahead. The research presented in this project provides an empirical foundation and analytical framework for understanding this transformation — one that equips policymakers, business leaders, and scholars to engage with the emerging multipolar economic order not as passive observers of change they do not understand, but as informed and strategic participants in shaping what that order ultimately becomes.